

EVALUATING THE EFFECTIVENESS OF ZEPTO'S CUSTOMER LOYALTY PROGRAM ON CUSTOMER RETENTION IN CHENNAI

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MASTER OF BUSINESS ADMINISTRATION

Submitted by

VIGNESHWARAN M

233108740091



**Indian School of Science and Management
Chennai**

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CERTIFICATE

This is to certify that the project entitled **“EVALUATING THE EFFECTIVENESS OF ZEPTO'S CUSTOMER LOYALTY PROGRAM ON CUSTOMER RETENTION IN CHENNAI.”** is a record of research work done by **VIGNESHWARAN M (233108740091)** during the Academic Year 2023-2025 at Indian School of Science and Management, Chennai, Tamil Nadu, India. This Project has not been previously formed in any basis for the award of any Degree, Diploma, Associate-ship, Fellowship or any other Similar Title to anyone and the project represents entirely an independent work on the part of the candidate.

A. Ranjith Kumar

Principal

ISSM Business School

VIVA VOCE Examination has been conducted on:

Project Guide

External Examiner

DECLARATION

I, **VIGNESHWARAN M (233108740091)**, hereby declare that the project entitled **“EVALUATING THE EFFECTIVENESS OF ZEPTO'S CUSTOMER LOYALTY PROGRAM ON CUSTOMER RETENTION IN CHENNAI”** is a Bonafide record of research work done by me under the supervision of Ms. Akilandeswari, Program coordinator, for the PG Programme in MBA at ISSM BUSINESS SCHOOL. I further declare that this work has not been previously formed the basis for the award of any degree, diploma, associate- ship or other similar title.

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ABSTRACT

The rise of quick-commerce platforms has transformed the way urban consumers shop for groceries and daily essentials, with customer loyalty programs playing a crucial role in driving retention and engagement. This study investigates the effectiveness of Zepto's customer loyalty program in influencing customer retention in Chennai, with a particular focus on key variables such as free cash offers, discounts and promotions, referral bonuses, personalized rewards, and subscription benefits. Data was collected from 150 active Zepto users through structured questionnaires, and analyzed using descriptive statistics and interpretation techniques.

The findings reveal that components like free cash offers and discounts significantly enhance purchase frequency and repeat engagement. Personalized rewards and referral bonuses also show a positive influence on customer satisfaction and word-of-mouth promotion, while subscription benefits contribute to long-term loyalty. The study identifies younger, tech-savvy consumers as the most responsive demographic, and highlights the importance of user experience in reinforcing loyalty beyond monetary incentives. However, a gap remains in program understanding and reward personalization for certain user segments.

This research offers practical recommendations for improving Zepto's loyalty strategies through targeted communication, tiered rewards, and technology-driven personalization. The insights serve as a strategic guide for marketers, platform developers, and customer experience professionals aiming to boost retention and brand loyalty in the competitive quick-commerce space.

Keywords: Customer Retention, Loyalty Program, Zepto, Quick Commerce, Cashback Offers, Personalized Rewards, Chennai

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CHAPTER 1
INTRODUCTION

EVALUATING THE EFFECTIVENESS OF ZEPTO'S CUSTOMER LOYALTY PROGRAM ON CUSTOMER RETENTION IN CHENNAI

1.1 INTRODUCTION

In the highly competitive quick-commerce industry, customer retention and loyalty have become crucial for business success. Companies are leveraging various strategies to maintain a strong customer base, with loyalty programs playing a pivotal role. One such method that has gained significant attention is the use of free cash offers, including cashback incentives and discounts, to encourage repeat purchases and foster customer commitment.

Zepto, a leading player in the Indian quick-commerce sector, has implemented a customer loyalty program that heavily relies on free cash offers to differentiate itself from competitors like Blinkit and Swiggy Instamart. The effectiveness of these offers in enhancing customer loyalty is a subject of growing interest among businesses and researchers alike. While cashback incentives can boost short-term engagement, their long-term impact on consumer behavior and brand loyalty remains a question that requires deeper investigation.

This study aims to assess the effectiveness of Zepto's free cash offers in influencing customer retention, purchase frequency, and overall loyalty. By analyzing customer responses and behavior patterns, this research will contribute valuable insights into the role of monetary incentives in shaping consumer decisions within the quick-commerce ecosystem.

1.2 OBJECTIVES OF THE STUDY

The objectives of this study are divided into **primary** and **secondary objectives** to comprehensively analyze the impact of Zepto's customer loyalty program on customer retention in Chennai.

1.2.1 Primary Objective

The primary objective of this study is :

To examine the effectiveness of Zepto's customer loyalty program in retaining customers, by evaluating the influence of key program components such as free cash offers, discounts, referral bonuses, personalized rewards, and subscription benefits

This will help in understanding whether Zepto's loyalty initiatives contribute to improved customer satisfaction and long-term retention in a competitive market.

1.2.2. Secondary Objective

The secondary objectives aim to analyze specific aspects of the loyalty program and its relationship with customer behavior:

- To assess the impact of free cash offers on customer engagement and frequency of purchases.
- To examine how discounts and promotional deals influence customer retention and loyalty.
- To evaluate the effectiveness of referral bonuses in encouraging customer acquisition and continued usage.
- To understand the role of personalized rewards in enhancing customer satisfaction and retention.
- To analyze whether subscription benefits contribute to repeat purchases and program renewals.
- To investigate demographic differences (such as gender) in the perception and response to the loyalty program.

By achieving these objectives, the study aims to offer actionable insights into optimizing customer loyalty strategies, improving retention rates, and strengthening brand affinity among Zepto customers in Chennai.

1.3 Key Market Trends in Quick-Commerce

1.3.1 Surge in Demand for Ultra-Fast Delivery

Urban consumers, particularly in metropolitan cities like Chennai, increasingly prefer platforms that deliver groceries and essentials within minutes. This shift is driven by busy lifestyles, last-minute shopping needs, and the convenience of avoiding long supermarket visits. Players like Zepto and Blinkit have capitalized on this trend by promising deliveries in under 10 minutes, setting new benchmarks in the industry.

1.3.2 Strategic Investments and Acquisitions

The quick-commerce space has attracted significant investments from major corporations. Zomato's acquisition of Blinkit and Tata Group's backing of BigBasket demonstrate the growing importance of this sector. Companies with strong financial support can expand operations faster, invest in logistics, and enhance technology to optimize deliveries.

1.3.3 Expansion into Tier 2 and Tier 3 Cities

While quick-commerce services are currently concentrated in metropolitan cities, companies are gradually expanding into smaller towns. However, the success of such expansion depends on factors like infrastructure, delivery efficiency, and consumer adoption of digital shopping habits. Blinkit and BigBasket have already begun testing these markets to gauge feasibility.

1.3.4 Personalization and Customer Retention Strategies

With multiple players competing for the same customer base, businesses focus on customer retention through personalized rewards, subscription benefits, and targeted promotions. Zepto, for example, offers free cashbacks, referral bonuses, and customized discounts based on user purchase history to enhance loyalty.

1.3.5 Operational Challenges and Cost Management

One of the biggest challenges in quick-commerce is managing high operational costs while maintaining profitability. Companies must invest in warehouse stocking, efficient route planning, and trained delivery personnel to sustain the 10–30-minute delivery promise. Additionally, the cost of customer acquisition remains high, making retention strategies even more critical.

1.4 ABOUT ZEPTO

Zepto is a leading quick-commerce platform that has revolutionized the way customers shop for groceries and daily essentials. Founded in 2021 by Aadit Palicha and Kaivalya Vohra, Zepto has quickly gained popularity for its ultra-fast delivery model, promising to deliver groceries and essentials to customers in just 10 minutes. The company operates primarily in urban areas across India, catering to the needs of time-sensitive customers who value speed, convenience, and reliability. Zepto's mission is to make grocery shopping faster, easier, and more convenient

by leveraging technology and innovative logistics solutions. The platform operates on a hyperlocal delivery model, utilizing a network of dark stores (micro-warehouses) strategically located in high-demand urban areas. These dark stores enable Zepto to fulfill orders within 10 minutes, setting it apart from traditional e-commerce platforms.

1.5 IMPORTANCE OF CUSTOMER LOYALTY IN QUICK-COMMERCE

The quick-commerce industry, characterized by ultra-fast delivery of goods and services, has seen exponential growth in recent years. Platforms like Zepto, which promise delivery within minutes, rely heavily on customer retention and loyalty to sustain their business models. In such a competitive environment, where customers have multiple options at their fingertips, loyalty programs become essential for differentiating the brand and creating a loyal customer base.

Customer loyalty programs not only help in retaining customers but also contribute to increased customer lifetime value (CLV). Loyal customers are more likely to make repeat purchases, recommend the brand to others, and engage with the platform regularly. For Zepto, which operates in a market where customer acquisition costs are high, fostering loyalty through free cash offers can be a cost-effective strategy to maintain a competitive edge.

1.6 ROLE OF FREE CASH OFFERS IN CUSTOMER LOYALTY PROGRAMS

Free cash offers are a powerful tool in customer loyalty programs because they provide immediate financial benefits to customers. These offers can take various forms, such as:

- **Discounts:** Percentage or fixed-amount discounts on purchases.
- **Cashback:** A percentage of the purchase amount returned to the customer as cash or credit.
- **Promotional Credits:** Free credits that customers can use for future purchases.

The effectiveness of free cash offers lies in their ability to create a sense of value and savings for customers. When customers perceive that they are getting more value for their money, they are more likely to remain loyal to the brand. Additionally, free cash offers can incentivize

customers to make larger or more frequent purchases, thereby increasing the average order value (AOV) and overall revenue for the platform.

1.7 INDUSTRY OVERVIEW

The quick-commerce industry, a sub-segment of the broader e-commerce sector, has experienced exponential growth due to increasing demand for convenience and instant delivery. The rise of digital payments, smartphone penetration, and evolving consumer lifestyles have significantly contributed to this industry's expansion. Quick-commerce platforms focus on delivering groceries, household essentials, and other consumer goods in record time, redefining traditional shopping habits.

According to industry reports, the Indian quick-commerce market is projected to grow at a **CAGR of 25-30%** over the next five years. Companies like Zepto, Blinkit, Swiggy Instamart, and BigBasket are aggressively competing to capture a share of this expanding market.

1.8 ECONOMIC STATUS OF THE INDUSTRY

The quick-commerce sector is capital-intensive, requiring substantial investment in infrastructure, logistics, and technology. While the industry shows high growth potential, it also faces economic challenges such as:

- **High operational costs** due to rapid delivery requirements.
- **Thin profit margins**, making financial sustainability a key concern.
- **Dependency on investor funding** for expansion and scaling operations.

Despite these challenges, the industry's long-term outlook remains positive due to increasing customer adoption and advancements in AI-driven supply chain management.

1.9 COMPETITOR ANALYSIS

1.9.1 Blinkit

Blinkit is one of the pioneers in India's quick-commerce space. Initially known as Grofers, the company was acquired by Zomato in 2022 and rebranded as Blinkit. It focuses on ultra-fast grocery and essentials delivery, promising orders within 10 minutes. One of Blinkit's primary

strengths is its strong backing from Zomato, which provides financial stability and access to a large customer base. Additionally, it has an established logistics network and advanced technology infrastructure that supports its rapid delivery model. Blinkit offers a wide range of products, including groceries, snacks, and household essentials, making it a comprehensive shopping solution for urban consumers. However, the company's biggest challenge lies in its high operational costs due to its ultra-fast delivery model. Maintaining profitability while ensuring quick deliveries remains a significant hurdle. Moreover, Blinkit's presence is largely concentrated in metropolitan cities, with limited expansion into smaller towns and rural areas.

1.9.2 Swiggy Instamart

Swiggy Instamart is the quick-commerce arm of Swiggy, offering grocery and daily essentials delivery within 15–30 minutes. It benefits from Swiggy's well-established delivery network and advanced technology, allowing it to serve customers efficiently. With strong brand recognition and consumer trust, Swiggy Instamart has positioned itself as a reliable quick-commerce platform. It also provides a wide variety of products, including fresh produce and packaged goods, catering to diverse consumer needs. However, compared to Zepto and Blinkit, Swiggy Instamart's delivery times are slightly slower, which may impact customer preference in a highly competitive market. Additionally, its hyperlocal delivery services are not uniformly strong across all regions, leading to inconsistencies in user experience.

1.9.3 BigBasket (BB Now)

BigBasket, a Tata-owned online grocery platform, launched BB Now to compete in the quick-commerce sector, offering delivery within 15–30 minutes. The company has a strong supply chain and inventory management system, ensuring consistent product availability. One of its major strengths is its wide product range, including premium and organic items, which attracts a niche customer base looking for high-quality grocery options. Additionally, the backing of the Tata Group provides significant financial and operational support, allowing for long-term stability. Despite these advantages, BB Now faces challenges in competing with Zepto and Blinkit in terms of delivery speed. Its ultra-fast delivery service is not available in all regions, limiting its ability to attract customers who prioritize immediate delivery over product variety.

1.9.4 Dunzo

Dunzo is a hyperlocal delivery platform that specializes in quick deliveries of groceries, medicines, and other essentials. It has built a strong presence in urban areas, particularly in South India, where it is widely used for various on-demand delivery services. Unlike other quick-commerce players, Dunzo offers a broader range of services, including pick-up and drop solutions, making it a versatile option for consumers. Additionally, the company emphasizes sustainability and eco-friendly practices, appealing to environmentally conscious customers. However, Dunzo's focus is not entirely on ultra-fast grocery delivery, which puts it at a disadvantage compared to Zepto and Blinkit. Furthermore, the platform heavily relies on third-party delivery partners, which can sometimes lead to service inconsistencies and operational challenges.

1.9.5 Amazon Fresh

Amazon Fresh is Amazon's grocery delivery service that offers same-day and next-day delivery for groceries and household essentials. As part of the global Amazon ecosystem, it benefits from the company's vast logistics network, cutting-edge technology, and strong brand reputation. Amazon Fresh provides a wide range of products, including international and premium brands, making it an attractive choice for customers seeking variety and reliability. However, compared to quick-commerce players like Zepto, Blinkit, and Swiggy Instamart, Amazon Fresh lags in delivery speed. The platform primarily focuses on scheduled deliveries rather than ultra-fast, on-demand service, making it less competitive in the quick-commerce space. Moreover, its availability is limited in certain regions, restricting its reach compared to dedicated quick-commerce platforms.

Zepto differentiates itself through its **ultra-fast delivery model**, **personalized cashback offers**, and an **efficient supply chain network**. However, competition remains intense, and retaining customers is a significant challenge.

1.10 COMPANY SERVICES

Zepto offers a wide range of services, including:

- **Ultra-fast grocery and essentials delivery** (within 10 minutes).
- **Loyalty programs with free cash offers**, discounts, and exclusive deals.

- **AI-driven product recommendations** for personalized shopping experiences.
- **Seamless digital payment options**, including wallets, UPI, and credit cards.
- **Subscription-based Zepto Pass**, offering free deliveries and additional benefits.

1.11 SWOT ANALYSIS OF ZEPTO

1.11.1 Strengths:

- **Ultra-fast delivery:** 10-minute delivery sets Zepto apart from competitors.
- **Advanced technology:** Efficient use of technology for logistics and operations.
- **Customer loyalty programs:** Free cash offers and discounts drive repeat purchases.
- **Hyperlocal model:** Dark stores enable faster delivery and cost efficiency.

1.11.2 Weaknesses:

- **High operational costs:** Maintaining dark stores and ensuring 10-minute delivery is expensive.
- **Limited geographic presence:** Zepto's operations are currently focused on urban areas, limiting its reach in smaller towns and rural areas.
- **Dependency on customer loyalty:** Heavy reliance on discounts and free cash offers may impact profitability in the long run.

1.11.3 Opportunities:

- **Expansion into new markets:** Zepto can expand its operations to smaller cities and towns with growing demand for quick-commerce.
- **Partnerships with local vendors:** Collaborating with local vendors can help Zepto offer a wider range of products and reduce costs.
- **Diversification of services:** Zepto can explore new services, such as meal kits, pharmaceuticals, and pet supplies, to attract more customers.

1.11.4 Threats:

- **Intense competition:** The quick-commerce market is highly competitive, with players like Blinkit, Swiggy Instamart, and BigBasket vying for market share.
- **Regulatory challenges:** Changes in regulations related to delivery services, labor laws, or data privacy could impact Zepto's operations.
- **Economic downturns:** Economic slowdowns or reduced consumer spending could affect demand for quick-commerce services.

1.12 REVENUE OF THE COMPANY

Zepto has witnessed rapid revenue growth since its inception, driven by increased order volumes and repeat purchases. While specific financial data is not publicly available, estimates suggest that Zepto's annual revenue has crossed **\$200 million** in 2023, with projections indicating further growth in the coming years. The company continues to rely on venture capital funding to scale operations and improve unit economics. **Revenue:** ₹4,454 crore, a 120% increase from FY23

- **Revenue:** ₹4,454 crore
- **Total expenditure:** ₹5,747 crore
- **Net loss:** ₹1,248.6 crore
- **Procurement cost:** ₹3,481 crore
- **Employee benefits:** ₹426 crore
- **Information technology:** ₹116 crore
- **Advertising:** ₹303 crore
- **Warehousing:** ₹493 crore
- **Delivery:** ₹580 crore

1.13 RESEARCH PROBLEM

Despite the growing adoption of cashback incentives in quick-commerce, there is limited empirical evidence on their actual effectiveness in driving customer loyalty. Businesses often

invest heavily in such promotions, but it remains unclear whether these incentives create long-term engagement or simply attract deal-seekers who switch platforms based on offers.

The research problem, therefore, revolves around assessing the effectiveness of Zepto's free cash offers in fostering customer loyalty. Specifically, this study seeks to understand:

- How free cash offers influence customer purchase behavior.
- Whether cashback incentives lead to sustained loyalty or short-term engagement.
- The impact of such offers on Zepto's market position compared to its competitors.

CHAPTER 2
REVIEW OF LITERATURE

2.1 REVIEW OF LITERATURE

2.1.1 Zhang, J., Wedel, M., & Pieters, R. (2023). The effectiveness of cashback offers in online retail.

This study examines the impact of cashback promotions on consumer behavior in online retail. Unlike traditional discounts, cashback offers create a psychological sense of "earned money", making them more attractive to consumers. The research finds that cashback promotions are particularly effective for price-sensitive customers and can increase purchase frequency and basket size. However, the study also warns that excessive cashback incentives may attract opportunistic customers who switch brands purely for the financial benefit. To maximize effectiveness, the authors suggest integrating cashback offers into tiered loyalty programs where long-term engagement is encouraged through progressive rewards.

2.1.2 Gupta, S., & Singh, R. (2023). Loyalty programs in emerging markets: A case study of India.

This study examines the effectiveness of loyalty programs in India, focusing on unique market dynamics such as price sensitivity, cultural factors, and digital adoption. Key insights include: Indian consumers prefer cash discounts and cashback over points-based systems. Digital wallets and mobile-based loyalty programs (e.g., Paytm, Amazon Pay) are gaining popularity. Brand trust plays a crucial role Indian consumers are more likely to engage. The study highlights that loyalty programs in emerging markets must be adapted to local consumer behaviors and economic conditions to be effective.

2.1.3 Bond, S., Stone, M., & Foss, B. (2022). The future of loyalty programs.

This paper explores emerging trends and innovations in loyalty programs. The authors argue that traditional point-based systems are becoming outdated and that companies must integrate big data, artificial intelligence, and digital engagement to stay competitive. Key trends discussed include: Gamification – Using game mechanics to enhance engagement. Subscription-based loyalty – Offering VIP memberships (e.g., Amazon Prime) instead of traditional points. Real-time rewards – Instant gratification through mobile-based loyalty interactions. The study suggests that businesses need to transition toward more interactive, experience-driven loyalty programs to maintain customer interest.

2.1.4 Dowling, G. R., & Uncles, M. (2020). Do customer loyalty programs really work?

This article critically examines the effectiveness of customer loyalty programs (CLPs) and whether they genuinely create loyalty or merely encourage repeated purchases. The authors argue that while CLPs can increase customer retention, they often fail to establish true brand loyalty. Many businesses assume that loyalty programs automatically translate into customer commitment, but in reality, they may only create habitual buying behavior rather than emotional attachment. The study highlights key distinctions between attitudinal loyalty (genuine preference for a brand) and behavioral loyalty (repeated purchases driven by incentives). The authors propose that loyalty programs work best when combined with strong brand differentiation and superior customer service, rather than being relied upon as the sole retention strategy.

2.1.5 Lewis, M. (2020). The influence of loyalty programs and short-term promotions on customer retention.

This study evaluates how loyalty programs and short-term promotions influence customer retention. Using data from the airline industry, Lewis finds that both strategies increase customer retention, but they work differently for different customer segments. Frequent customers respond better to long-term loyalty incentives, while infrequent customers are more likely to be influenced by short-term promotions. The research highlights that while short-term promotions can create an immediate sales spike, they often fail to generate sustained loyalty. In contrast, well-designed loyalty programs encourage long-term engagement but require continuous refinement to remain effective. The study also notes that personalized offers and targeted promotions are crucial for maximizing customer lifetime value.

2.1.6 Meyer-Waarden, L. (2018). The effects of loyalty programs on customer lifetime duration and share of wallet.

This study explores how loyalty programs influence customer lifetime duration and spending behavior. The findings indicate that customers enrolled in loyalty programs tend to stay longer and spend more with a brand. However, the effectiveness of these programs depends on factors such as program exclusivity, perceived value, and ease of earning rewards. The study emphasizes the need for companies to continuously innovate their loyalty programs to sustain customer interest.

2.1.7 Leenheer, J., van Heerde, H. J., Bijmolt, T. H. A., & Smidts, A. (2018). Do loyalty programs enhance behavioral loyalty?

This study examines the impact of loyalty programs on actual purchasing behavior. The results show that while loyalty programs can increase short-term sales and customer visits, their long-term effectiveness depends on personalization and perceived value. Programs that offer tiered rewards (e.g., silver, gold, and platinum levels) tend to perform better as they create aspirational incentives for customers to engage.

2.1.8 Dorotic, M., Bijmolt, T. H. A., & Verhoef, P. C. (2017). Loyalty programmes: Current knowledge and research directions.

This paper provides a comprehensive review of loyalty program research and highlights gaps in existing literature. The authors categorize loyalty programs into three types: reward-based, relationship-based, and hybrid models. Key insights include Loyalty programs influence purchase frequency and spending, but their long-term effectiveness depends on program design. Personalized and tiered loyalty programs create a stronger emotional bond with customers. The impact of loyalty programs varies by industry, with sectors like airlines. The study concludes by recommending future research directions, including how digital transformation and data analytics can improve loyalty program effectiveness.

2.1.9 Henderson, C. M., Beck, J. T., & Palmatier, R. W. (2017). Review of the theoretical underpinnings of loyalty programs.

This review article examines the theoretical foundations of loyalty programs by integrating perspectives from behavioral psychology, relationship marketing, and economic theory. The authors discuss key drivers of loyalty program success, including Commitment theory – Customers remain loyal when they perceive long-term benefits. Equity theory – Fairness in rewards enhances participation. Self-determination theory – Customers prefer loyalty programs. The study emphasizes that simply offering discounts is insufficient—successful loyalty programs leverage psychological engagement and perceived exclusivity to drive long-term retention.

2.1.10 Gupta, S., & Singh, R. (2017). Loyalty programs in emerging markets: A case study of India.

This study examines the effectiveness of loyalty programs in India, focusing on unique market dynamics such as price sensitivity, cultural factors, and digital adoption. Key insights include Indian consumers prefer cash discounts and cashback over points-based systems. Digital wallets and mobile-based loyalty programs (e.g., Paytm, Amazon Pay) are gaining popularity. Brand trust plays a crucial role—Indian consumers are more likely to engage with loyalty programs. The study highlights that loyalty programs in emerging markets must be adapted to local consumer behaviors and economic conditions to be effective.

2.1.11 Liu, Y., & Yang, R. (2016). Competing loyalty programs: Impact of market saturation, market share, and category expandability.

This article analyzes how competing loyalty programs perform in different market conditions. The study finds that market saturation, brand market share, and product category expandability significantly influence the success of loyalty programs. Key findings include: In highly saturated markets, loyalty programs must offer unique benefits beyond basic discounts to be effective. Firms with high market share benefit more from loyalty programs since customers have fewer reasons to switch brands. Expandable product categories (e.g., groceries) generate higher returns from loyalty programs than The study concludes that companies should tailor their loyalty strategies based on industry dynamics rather than adopting a one-size-fits-all approach.

2.1.12 Sharma, A., & Krishna, A. (2014). The Role of Emotion in Customer Loyalty Programs

This research explores the link between emotions and consumer brand loyalty using a free cash approach. By employing neuroimaging techniques like fMRI and EEG, it uncovers subconscious processes that drive emotional brand attachment. The study identifies key emotional triggers—such as joy, trust, and nostalgia—that influence repeat purchases, positive word-of-mouth, and brand resistance. Understanding these neurological responses can help marketers develop precise strategies to enhance brand loyalty, offering valuable insights for marketing practitioners.

2.1.13 Melnyk, Valentyna; Van Herpen, Erica; Trijp, Hans C. M. van (2013)

In their research “The Influence of Loyalty Program Membership on Consumer Purchase Behavior”, Melnyk, Van Herpen, and Van Trijp (2013) explore how being part of a loyalty program influences actual shopping behavior over time. The authors use longitudinal data from supermarket shoppers to measure changes in frequency, spending, and brand switching before and after loyalty program enrollment. They find that loyalty program membership significantly increases purchase frequency and basket size, particularly among new members. However, the impact diminishes over time, suggesting a novelty effect that wears off unless the program offers dynamic or evolving incentives. The study also identifies that the presence of tiered rewards motivates customers to consolidate their purchases with one brand to achieve higher benefits. Moreover, loyalty program participation reduces the likelihood of switching to competitors, thereby boosting retention. The authors note that personalization, perceived fairness, and reward attainability are critical to sustained customer engagement. Their work supports the idea that loyalty programs can trigger habit formation, though emotional attachment requires more than just economic incentives. This research is particularly useful for marketers designing long-term customer engagement strategies in competitive markets.

2.1.14 Dorotic, Matilda; Bijmolt, Tammo H. A.; Verhoef, Peter C. (2012)

In the paper “Loyalty Program Management: What are the Drivers and Consequences of Program Effectiveness?”, Dorotic, Bijmolt, and Verhoef (2012) explore the internal and external factors influencing the effectiveness of customer loyalty programs (CLPs). The authors categorize drivers into design-related elements such as reward structure, communication strategies, and the personalization of offers. They emphasize that programs with differentiated reward tiers and experiential incentives tend to perform better in terms of customer engagement and long-term retention. The study also identifies customer involvement, brand image, and satisfaction as crucial mediators between loyalty program participation and customer behavior. By conducting meta-analyses and empirical validation across various industries, the researchers found that CLPs can improve share of wallet and frequency of purchase, particularly in competitive markets. However, they also note that over-saturation or poorly managed programs may lead to customer fatigue or diminished returns. Additionally, the study shows that behavioral loyalty is more easily influenced than attitudinal loyalty, which requires deeper emotional connections. The authors conclude that the strategic integration of

CLPs with broader customer relationship management efforts is essential for sustainable effectiveness and customer lifetime value enhancement.

2.1.15 Demoulin, Nathalie T.M.; Zidda, Philippe (2008)

In their paper “On the impact of loyalty cards on store loyalty: Does the customers’ satisfaction with the reward scheme matter?” Demoulin and Zidda (2008) investigate whether loyalty card programs truly increase store loyalty and the role of customer satisfaction in this relationship. Their study reveals that the effectiveness of loyalty programs heavily depends on how customers perceive the reward scheme—specifically, its attractiveness, ease of redemption, and fairness. They found that merely offering a loyalty card does not guarantee customer loyalty unless the rewards are perceived as valuable and attainable. The research introduces a model that positions satisfaction with the loyalty scheme as a mediator between card ownership and loyalty behavior. Customers who are satisfied with the reward system are more likely to develop a deeper connection with the brand, resulting in repeat visits and increased spending. The study also explores the psychological commitment customers form when they invest time or effort into a loyalty program, a concept known as the “sunk-cost effect.” Demoulin and Zidda emphasize the importance of personalizing reward offerings to meet different customer preferences. Furthermore, they conclude that while loyalty cards can positively influence shopping behavior, their success is not automatic but contingent on the program's structure and perceived benefits.

2.1.16 Nunes, J. C., & Drèze, X. (2007). The endowed progress effect: How to advance a goal and increase effort.

This study introduces the endowed progress effect, a psychological phenomenon where people exert greater effort toward achieving a goal when they feel they have already made progress. Through multiple experiments, the authors demonstrate that when customers are given a perceived head start (such as pre-earned points in a loyalty program), they are more likely to complete the program requirements. For example, a coffee shop that offers a 10-punch loyalty card with 2 pre-stamped punches sees higher completion rates than one with an 8-punch card requiring the same total effort. The research suggests that businesses can boost customer engagement and effort by strategically framing rewards and progress within loyalty programs.

2.1.17 Kivetz, R., & Simonson, I. (2007). Earning the right to indulge: Effort as a determinant of customer preferences toward frequency program rewards.

This research explores how effort in earning rewards affects consumer preferences in loyalty programs. The authors find that when customers feel they have worked hard to earn a reward, they are more likely to choose luxury or indulgent rewards over practical or utilitarian options. For example, frequent flyer program members who accumulate many miles are more inclined to redeem them for first-class upgrades rather than cash-equivalent discounts. This phenomenon suggests that effort creates a psychological justification for indulgence. The findings have important implications for businesses designing loyalty programs, as they indicate that offering aspirational rewards can enhance customer engagement and perceived value.

2.1.18 Kahneman, D., & Tversky, A. (2006). Prospect theory: An analysis of decision under risk.

This foundational paper in behavioral economics introduces prospect theory, which explains how people evaluate risks and rewards. The theory proposes that individuals do not perceive gains and losses equally—they tend to be more sensitive to potential losses than equivalent gains (loss aversion). Additionally, people evaluate outcomes relative to a reference point rather than in absolute terms. The study's insights have been widely applied to marketing, pricing strategies, and loyalty programs, showing that customers are more likely to be motivated by avoiding the loss of accumulated rewards than by gaining additional benefits. Businesses can

2.1.19 Lewis, M. (2006). The influence of loyalty programs and short-term promotions on customer retention.

This study evaluates how loyalty programs and short-term promotions influence customer retention. Using data from the airline industry, Lewis finds that both strategies increase customer retention, but they work differently for different customer segments. Frequent customers respond better to long-term loyalty incentives, while infrequent customers are more likely to be influenced by short-term promotions. The research highlights that while short-term promotions can create an immediate sales spike, they often fail to generate sustained loyalty. In contrast, well-designed loyalty programs encourage long-term engagement but require

continuous refinement to remain effective. The study also notes that personalized offers and targeted promotions are crucial for maximizing customer lifetime value.

2.1.20 Kivetz, R., & Simonson, I. (2005). Earning the right to indulge: Effort as a determinant of customer preferences toward frequency program rewards.

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2.1.22 Blattberg, R. C., Kim, B. D., & Neslin, S. A. (2003). Database Marketing: Analyzing and Managing Customers.

This book provides an in-depth analysis of database marketing, focusing on how companies can use customer data to create more effective marketing strategies. It covers topics such as customer segmentation, predictive analytics, and personalized promotions. The authors highlight how businesses can leverage customer transaction data to optimize loyalty programs and improve retention. Key recommendations include using machine learning models to predict customer churn and offering customized rewards based on purchasing behavior.

2.1.23 Zhang, J., Wedel, M., & Pieters, R. (2003). The effectiveness of cashback offers in online retail.

This study examines the impact of cashback promotions on consumer behavior in online retail. Unlike traditional discounts, cashback offers create a psychological sense of "earned money", making them more attractive to consumers. The research finds that cashback promotions are particularly effective for price-sensitive customers and can increase purchase frequency and basket size. However, the study also warns that excessive cashback incentives may attract opportunistic customers who switch brands purely for the financial benefit. To maximize effectiveness, the authors suggest integrating cashback offers into tiered loyalty programs where long-term engagement is encouraged through progressive rewards.

2.1.24 Homburg, C., Wieseke, J., & Bornemann, T. (2002). Implementing the marketing concept at the employee-customer interface: The role of customer need knowledge.

This study explores the importance of customer need knowledge (CNK) in implementing marketing strategies at the employee-customer interface. The authors argue that frontline employees who understand customer needs can significantly improve customer satisfaction and loyalty. The research highlights that CNK enhances service delivery, personalizes interactions, and increases trust between customers and brands. The study also finds that CNK is most effective when combined with strong employee motivation and customer-oriented culture within the organization. The findings suggest that businesses should invest in employee training programs that emphasize understanding customer expectations and behavioral cues.

2.1.25 Srinivasan, Shuba & Anderson, Eric T. (2000).

In their insightful paper "Conceptualizing the Impact of Loyalty Programs on Customer Retention", Srinivasan and Anderson (2000) explore how loyalty programs influence consumer decision-making and retention patterns. They argue that customer loyalty extends beyond transactional rewards and involves psychological commitment and satisfaction. Their research employs a conceptual framework to dissect the interplay between loyalty incentives and customer behavior over time. They highlight that while loyalty programs can offer short-term retention benefits, their long-term effectiveness depends on consistent value delivery, trust, and engagement. The study identifies three core components that enhance program success: relevance of rewards, personalization, and ease of use

CHAPTER 3
RESEARCH METHODOLOGY

3.1 RESEARCH METHODOLOGY

The research design for this study on evaluating the effectiveness of Zepto's customer loyalty program on customer retention in Chennai follows a descriptive and analytical approach. This design is suitable for understanding user behavior, loyalty program engagement, and the factors influencing customer retention in the quick commerce segment.

The study aims to analyze how different components of Zepto's loyalty initiatives—such as free cash offers, discounts & promotions, referral bonuses, personalized rewards, subscription benefits, and overall user experience—impact customers' decisions to continue using the platform.

The research is based on both primary and secondary data sources. Primary data is collected directly from Zepto users in Chennai through structured online surveys, targeting individuals who have interacted with any form of Zepto's loyalty programs. Secondary data is obtained from company reports, marketing case studies, academic journals, and industry publications related to customer retention and loyalty programs in the e-commerce and quick commerce sectors.

3.2 RESEARCH DESIGN

The research incorporates both quantitative and qualitative methods to obtain a comprehensive understanding of Zepto users' perceptions of its loyalty program and its effect on customer retention in Chennai.

A survey-based approach is used to collect primary data from Zepto users, focusing on their interactions with loyalty program features such as free cash offers, discounts, referral bonuses, personalized rewards, subscription benefits, and user experience. The survey also captures customer retention indicators such as repeat purchases, frequency of usage, and long-term engagement.

Secondary data is sourced from industry reports, academic research papers, and market analysis studies related to customer retention, loyalty marketing, and quick commerce trends. This helps support the findings and provides a broader context for evaluating Zepto's customer loyalty strategies.

3.3 RESEARCH GAP

Although numerous studies have examined the role of customer loyalty programs in influencing consumer behavior and retention, the majority of these investigations have focused on traditional retail or service sectors such as banking, airlines, or hospitality. Very limited research has been conducted within the rapidly growing quick-commerce industry, particularly in the Indian context. Moreover, while some studies have explored individual loyalty elements like discounts, cashback, or referral programs, there is a lack of comprehensive analysis evaluating how the entire loyalty framework—encompassing personalized rewards, subscription benefits, and free cash offers—collectively affects customer retention. Furthermore, existing literature often adopts a pan-India or metro-centric approach, neglecting localized consumer behavior patterns in specific urban settings like Chennai. Considering that regional preferences and socio-economic conditions can significantly impact loyalty and retention dynamics, this study aims to fill the gap by offering a focused evaluation of Zepto's customer loyalty program and its effectiveness in retaining customers specifically in Chennai. This regional and industry-specific insight can help bridge the knowledge gap and guide marketing strategies in the quick-commerce segment.

3.4 AREA OF RESEARCH

This study focuses on customer retention and the effectiveness of Zepto's customer loyalty program in the context of the quick commerce industry, with specific reference to users in Chennai. It examines how various loyalty program components—such as free cash offers, discounts and promotions, referral bonuses, personalized rewards, subscription benefits, and app usability—contribute to customer engagement and retention.

The study explores consumer behavior and expectations, analyzing how Zepto's loyalty initiatives influence repeat purchases, long-term usage, and brand loyalty. Special emphasis is placed on the convenience-driven nature of quick commerce, and how seamless user experience, technological features, and personalized engagement affect customer retention.

Additionally, the research investigates the role of technology and app features in improving user satisfaction, such as real-time tracking, frictionless payment options, and tailored promotional offers. It also assesses the impact of seasonal campaigns, promotional discounts.

3.4 SOURCE OF DATA

This study relies on both primary and secondary data sources to provide a comprehensive analysis of how Zepto's customer loyalty program influences customer retention in the quick commerce sector in Chennai. By combining firsthand consumer insights with existing market data, the research aims to deliver a well-rounded evaluation of Zepto's loyalty strategies, customer behavior, and competitive positioning.

Primary Data

Primary data is collected directly from Zepto users through various research methods, including online surveys and structured questionnaires. These tools are designed to capture users' experiences with different components of Zepto's loyalty program—such as free cash offers, discounts, referral bonuses, personalized rewards, subscription benefits, and overall app usability.

The responses provide insight into user preferences, satisfaction levels, retention likelihood, and the perceived value of loyalty incentives. Additional inputs may be drawn from customer reviews, app ratings, and social media feedback to better understand customer sentiment and expectations.

Secondary Data

Secondary data is sourced from a variety of relevant materials such as industry reports, academic journals, market research publications, and company insights related to quick commerce and e-commerce loyalty strategies.

Key sources include:

- Articles on customer retention in quick commerce
- Zepto's official website and press releases
- Competitor analysis (e.g., Blinkit, Instamart, BigBasket)
- Reports from consulting firms and marketing think tanks
- Government and industry reports on digital retail and consumer behavior

3.5 SAMPLE SIZE

The sample size for this study will be determined based on user demographics, app usage frequency, and the geographic concentration of Zepto users in Chennai. The target respondents include individuals who actively use Zepto for their grocery and quick commerce needs and have experienced one or more components of Zepto's customer loyalty program.

Since Zepto primarily operates in urban and metropolitan areas, the sample will be drawn from users residing in various parts of Chennai, to gain relevant insights into their retention behavior and response to loyalty-driven incentives.

The study aims to collect data from 150 to 500 respondents, depending on the feasibility and reach of the survey. A combination of purposive and convenience sampling will be used to ensure that the data collected is both diverse and relevant. Purposive sampling helps target users who are familiar with loyalty features, while convenience sampling enables easy access to frequent Zepto users.

3.6 SAMPLING METHOD

This study employs a non-probability sampling method, specifically using convenience sampling and purposive sampling, to collect data from Zepto users in Chennai. These methods are chosen to ensure that responses are gathered from individuals who are active users of Zepto and have interacted with its loyalty program features, making them relevant to the research objectives.

By using these sampling techniques, the study ensures that the collected data reflects meaningful insights into customer behavior, loyalty program effectiveness, and customer retention trends. This targeted approach supports a well-rounded and data-driven analysis that will help identify which aspects of Zepto's loyalty program contribute most to customer retention, and how the brand can further optimize its loyalty strategies to maintain a competitive edge in Chennai's quick commerce market.

3.8 ANALYTICAL TOOLS USED ON THE STUDY

Various statistical tools and techniques are employed in this study to analyze the effectiveness of Zepto's customer loyalty program on customer retention, ensuring accurate insights and meaningful interpretation of the data collected.

Descriptive statistics such as mean, median, mode, standard deviation, frequency distribution, and percentage analysis are used to summarize consumer responses related to the various loyalty program features—like free cash offers, discounts, referral bonuses, personalized rewards, subscription benefits, and overall app experience.

Correlation analysis is applied to determine the strength and direction of relationships between loyalty program elements and customer retention, helping identify which factors most strongly influence a user's decision to stay loyal to Zepto.

Regression analysis is used to predict the impact of independent variables (loyalty program features) on the dependent variable (customer retention), providing insight into which strategies contribute the most to long-term user engagement.

Factor analysis groups related loyalty features to uncover the underlying dimensions of customer loyalty behavior, helping simplify complex data into meaningful clusters.

T-tests and ANOVA (Analysis of Variance) are used to compare customer retention levels across different demographic segments, such as age, gender, income level, or frequency of app usage.

Additionally, sentiment analysis of open-ended survey responses, customer reviews, and feedback may be conducted to assess consumer perceptions and emotions regarding Zepto's loyalty offerings. This helps identify key positive drivers and pain points in the loyalty experience.

By leveraging these statistical tools, the study ensures a data-driven and comprehensive evaluation of how Zepto's loyalty programs influence customer retention in Chennai's competitive quick commerce market.

3.8 HYPOTHESIS

To examine the relationship between Zepto's loyalty program components and customer retention, the following hypotheses have been formulated:

- **Null Hypothesis 1 (H₀₁):**
There is no significant difference among the respondents with respect to loyalty program preferences based on gender.
- **Null Hypothesis 2 (H₀₂):**
There is no significant difference among the respondents with respect to loyalty program preferences based on monthly income.
- **Hypothesis 3 (H₁):**
There is a significant relationship between loyalty program components (free cash offers, discounts, referral bonuses, personalized rewards, subscription benefits, and user experience) and customer retention.
- **Hypothesis 4 (H₂):**
There is a significant impact of loyalty features—such as promotional offers, personalized rewards, subscription benefits, and user satisfaction—on customer retention with Zepto.

CHAPTER 4
DATA ANALYSIS AND INTERPRETATION

4.1 DATA ANALYSIS

The study explores the effectiveness of Zepto's customer loyalty program on customer retention in Chennai. Primary data was collected through a structured questionnaire distributed among Zepto users. The responses were analyzed using descriptive statistical tools such as frequency distributions and graphical representations. This section presents the analyzed data to understand customer perceptions of various loyalty components—such as personalized rewards, referral bonuses, free cash offers, and subscription benefits—and their influence on customer retention behavior.

4.1.1 Age

Table 4.1.1

		Age			
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	18 - 24	48	32.0	32.0	32.0
	25 - 34	32	21.3	21.3	53.3
	35 - 44	31	20.7	20.7	74.0
	45 +	16	10.7	10.7	84.7
	Below 18	23	15.3	15.3	100.0
	Total	150	100.0	100.0	

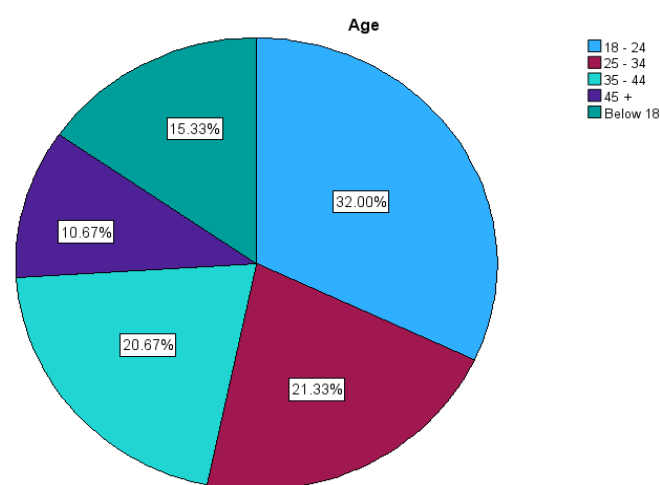


Chart 4.1.1

Interpretation:

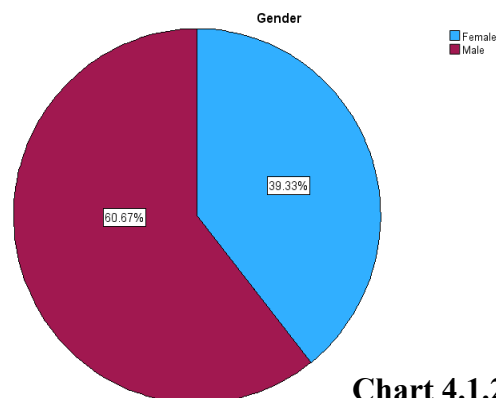
The highest number of Zepto users fall in the 18–24 age group (32%), showing strong adoption among youth. The next major segments are 25–34 (21.3%) and 35–44 (20.7%), indicating popularity among working professionals. A smaller group of users below 18 (15.3%) are also actively using the app. The 45+ age group (10.7%) has the least participation. This highlights a young, tech-savvy customer base.

Inference:

Zepto's customer loyalty program appears to be most effective with users aged 18–34, who value convenience, offers, and app-based features. These groups are more likely to respond positively to rewards like discounts, referrals, and personalized deals. The limited usage in the 45+ category suggests an opportunity to boost engagement through targeted awareness or simplified app experiences. The younger customer base reflects the digital-first nature of the quick commerce market.

4.1.2 Gender**Table 4.1.2**

GENDER					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Female	59	39.3	39.3	39.3
	Male	91	60.7	60.7	100.0
	Total	150	100.0	100.0	

**Chart 4.1.2**

INTERPRETATION:

Out of 150 respondents, 60.7% are male and 39.3% are female, showing higher male participation in the study. This suggests that more men are currently using or engaging with Zepto's services in Chennai. Both genders, however, form a substantial part of the customer base. The gap also reflects possible usage patterns or awareness differences. Zepto's reach appears slightly stronger among male users.

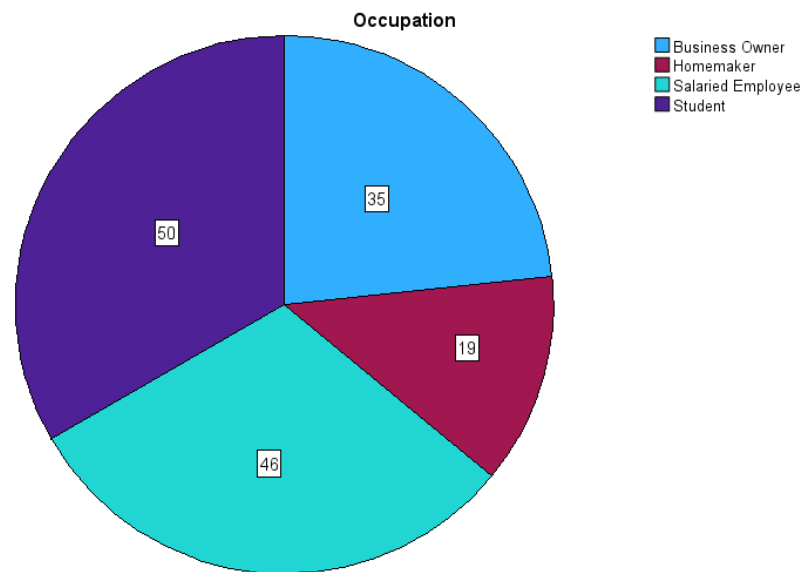
INFERENCE:

Zepto's loyalty programs may currently be resonating more with male customers, who dominate the user base. However, the considerable female share (39.3%) indicates a strong potential for growth through targeted campaigns. Personalized rewards or convenience-based features may further attract and retain more female users. Gender-based preferences can guide future loyalty strategies for better inclusivity and retention.

4.1.3 OCCUPATION**Table 4.1.3**

Occupation					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Business Owner	35	23.3	23.3	23.3
	Homemaker	19	12.7	12.7	36.0
	Salaried Employee	46	30.7	30.7	66.7
	Student	50	33.3	33.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.3

**INTERPRETATION:**

Among the 150 respondents, the largest group is students (33.3%), followed by salaried employees (30.7%). Business owners make up 23.3%, while homemakers account for 12.7%. This indicates that Zepto's services are widely used by both students and working professionals. The user base spans across diverse occupations, showing broad appeal.

INFERENCE:

Zepto's loyalty programs are especially effective among students and salaried professionals, who likely seek value deals, time-saving options, and app convenience. These groups may be more responsive to cash offers, discounts, and referral bonuses. There's potential to increase engagement among homemakers and business owners through targeted benefits. Understanding occupation-wise needs can guide better loyalty strategy design.

4.1.4 What is your average monthly income ?

Table 4.1.4

What is your average monthly income					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	20,000 - 49,999	43	28.7	28.7	28.7
	50,000 - 1,00,000	27	18.0	18.0	46.7
	above 1,00,000	20	13.3	13.3	60.0
	less than 19,999	60	40.0	40.0	100.0
	Total	150	100.0	100.0	

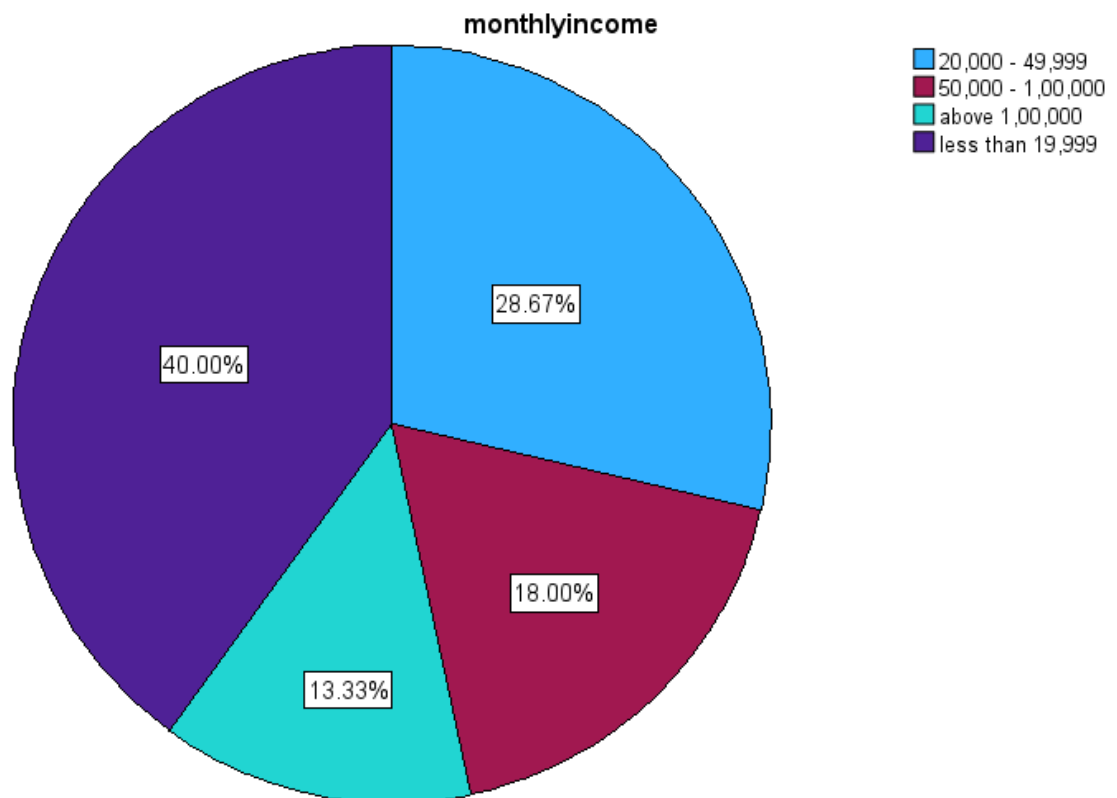


Chart 4.1.4

INTERPRETATION:

Among the respondents, the highest share (40%) earns **less than ₹19,999** per month, followed by **28.7%** in the **₹20,000–₹49,999** range. **18%** earn between **₹50,000–₹1,00,000**, and **13.3%** earn **above ₹1,00,000**. This shows that a majority of Zepto users fall under the low to mid-income brackets. High-income users represent a smaller portion of the customer base.

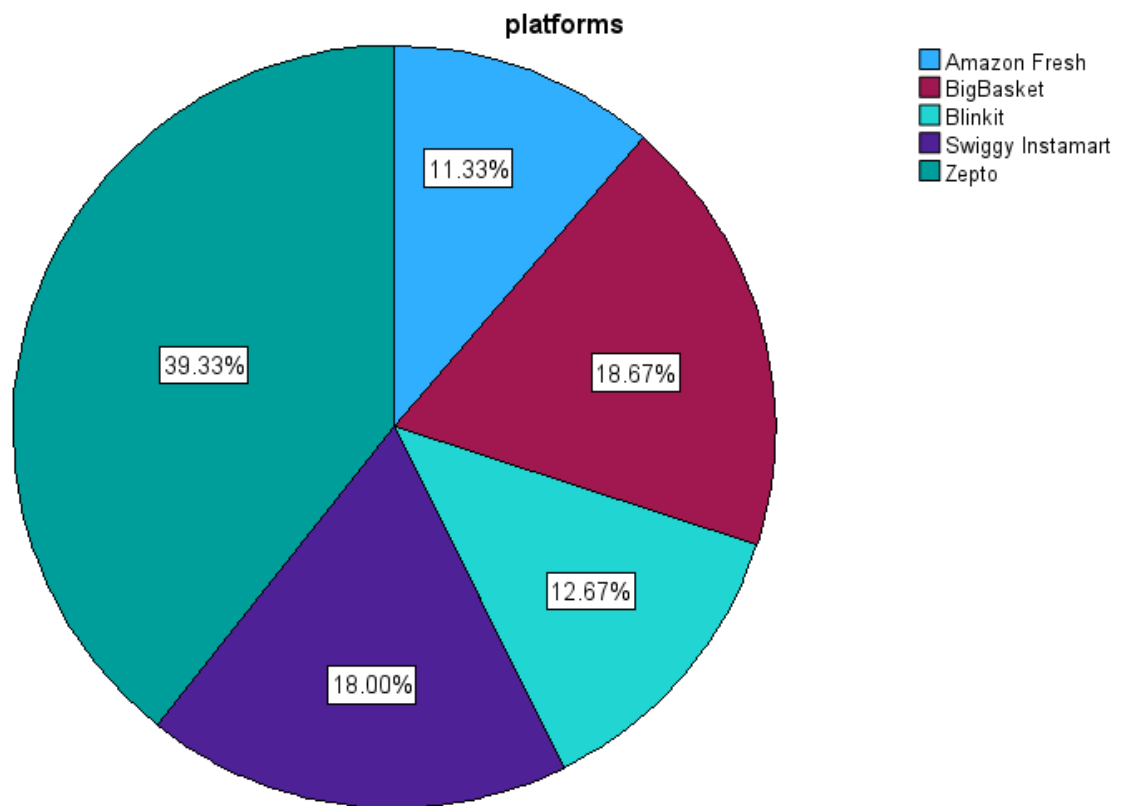
INFERENCE:

Zepto's **customer loyalty programs** seem most appealing to **low and middle-income groups**, who are likely more price-sensitive and value-focused. Offers like **discounts, cashbacks, and referral rewards** are especially effective in retaining these users. Premium segments (above ₹1 lakh) may require differentiated services like **subscription perks or exclusive benefits**. Income-based targeting can enhance customer retention across segments.

4.1.5 Preferred Platform**Table 4.1.5**

Preferred Platform					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Amazon Fresh	17	11.3	11.3	11.3
	BigBasket	28	18.7	18.7	30.0
	Blinkit	19	12.7	12.7	42.7
	Swiggy Instamart	27	18.0	18.0	60.7
	Zepto	59	39.3	39.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.5

**INTERPRETATION:**

Among 150 respondents, **39.3%** prefer **Zepto**, making it the most used platform. **BigBasket (18.7%)** and **Swiggy Instamart (18%)** follow closely, indicating strong competition. **Blinkit** is preferred by **12.7%**, and **Amazon Fresh** by **11.3%**. This shows Zepto has a leading share among online grocery users in Chennai. Users still explore alternatives based on services or deals.

INFERENCE:

Zepto's strong preference suggests its **customer loyalty strategies**—like quick delivery, offers, and convenience—are working well. However, close competition from **BigBasket and Swiggy Instamart** means Zepto must continue innovating. Enhancing **personalized rewards and app**

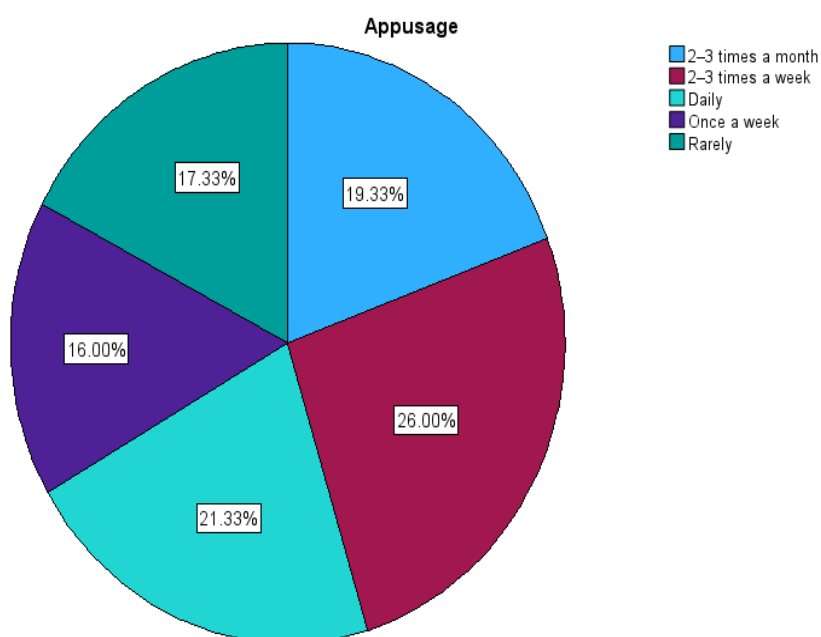
experience can help retain its lead. Understanding why some users prefer other platforms can offer insights to improve loyalty and retention.

4.1.6 Frequency of Use

Table 4.1.6

Frequency of Use					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	2–3 times a month	29	19.3	19.3	19.3
	2–3 times a week	39	26.0	26.0	45.3
	Daily	32	21.3	21.3	66.7
	Once a week	24	16.0	16.0	82.7
	Rarely	26	17.3	17.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.6



INTERPRETATION:

Most respondents use the Zepto app **2–3 times a week (26%)**, followed by **daily users (21.3%)**. About **19.3%** use it **2–3 times a month**, and **16%** use it **once a week**. A smaller group, **17.3%**, reported using the app rarely. This reflects a mix of regular and occasional usage patterns among users in Chennai.

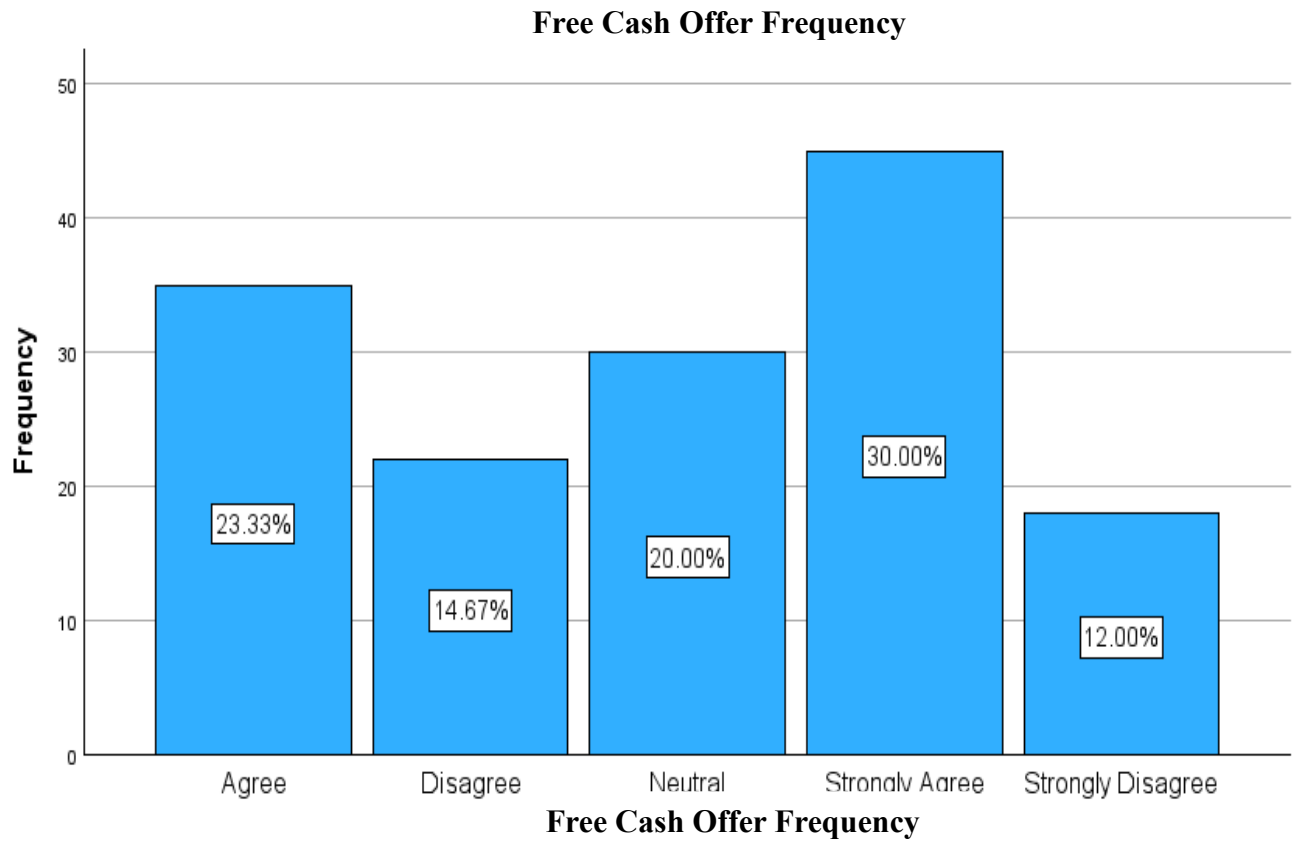
INFERENCE:

The presence of **frequent users (daily and weekly)** suggests Zepto's **loyalty features and convenience** are encouraging repeat usage. Occasional users may need stronger engagement through **timely offers, reminders, or personalized deals**. Retaining high-frequency users should remain a priority, while nudging less active users with targeted benefits can boost overall retention.

4.1.7 Free Cash Offer Frequency**Table 4.1.7**

Free Cash Offer Frequency					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	35	23.3	23.3	23.3
	Disagree	22	14.7	14.7	38.0
	Neutral	30	20.0	20.0	58.0
	Strongly Agree	45	30.0	30.0	88.0
	Strongly Disagree	18	12.0	12.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.7

**INTERPRETATION:**

Out of 150 respondents, **30% strongly agree** and **23.3% agree** that they have received **free cash offers** from Zepto. **20%** remain **neutral**, while **14.7% disagree** and **12% strongly disagree**. This indicates that the majority of users perceive cash rewards as part of their experience. However, a notable portion either disagrees or is unsure.

INFERENCE:

The data shows that **free cash offers** are a **positive driver** for many users, supporting their role in enhancing customer retention. However, the presence of **neutral or negative responses** suggests inconsistency or lack of awareness. Zepto could benefit from **communicating these offers more clearly** and ensuring wider participation to maximize loyalty impact.

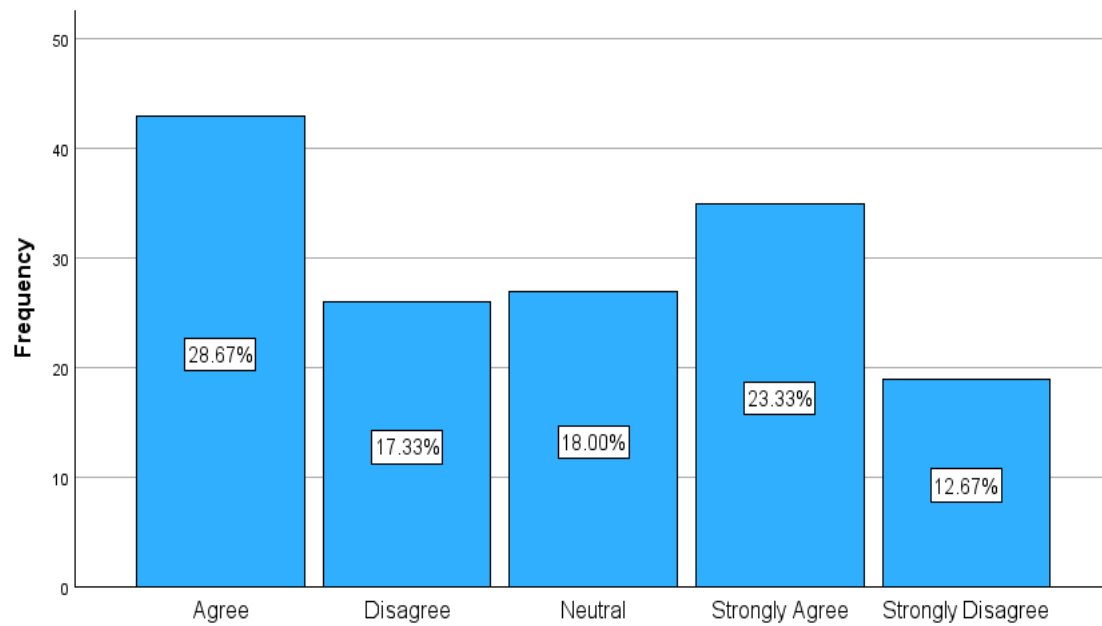
4.1.8 Influence of Free Cash Offers

Table 4.1.8

Influence of Free Cash Offers					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	43	28.7	28.7	28.7
	Disagree	26	17.3	17.3	46.0
	Neutral	27	18.0	18.0	64.0
	Strongly Agree	35	23.3	23.3	87.3
	Strongly Disagree	19	12.7	12.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.8

Influence of Free Cash Offers



INTERPRETATION:

A total of **52%** of respondents (**28.7% agree** and **23.3% strongly agree**) believe that **cash offers influence their purchase decisions** on Zepto. **18%** remain neutral, while **17.3% disagree** and **12.7% strongly disagree**. This shows that over half the users acknowledge the motivational impact of cash offers, though not universally.

INFERENCE:

Cash-based rewards play a **significant role in influencing buying behavior**, making them a strong component of Zepto's loyalty strategy. However, with nearly **30% expressing neutrality or disagreement**, there's room to **optimize offer timing, value, or communication**. Tailoring offers to match customer needs may further boost conversion and retention.

4.1.9 Loyalty via Free Cash Offers**Table 4.1.9**

Loyalty via Free Cash Offers					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	38	25.3	25.3	25.3
	Disagree	17	11.3	11.3	36.7
	Neutral	34	22.7	22.7	59.3
	Strongly Agree	37	24.7	24.7	84.0
	Strongly Disagree	24	16.0	16.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.9

**INTERPRETATION:**

Among the respondents, **50%** (25.3% agree and 24.7% strongly agree) believe that **cash offers enhance their loyalty** to Zepto. **22.7%** are neutral, while **27.3%** (disagree + strongly disagree) do not find cash offers impactful for loyalty. This shows that while many users are positively influenced, opinions are somewhat divided.

INFERENCE:

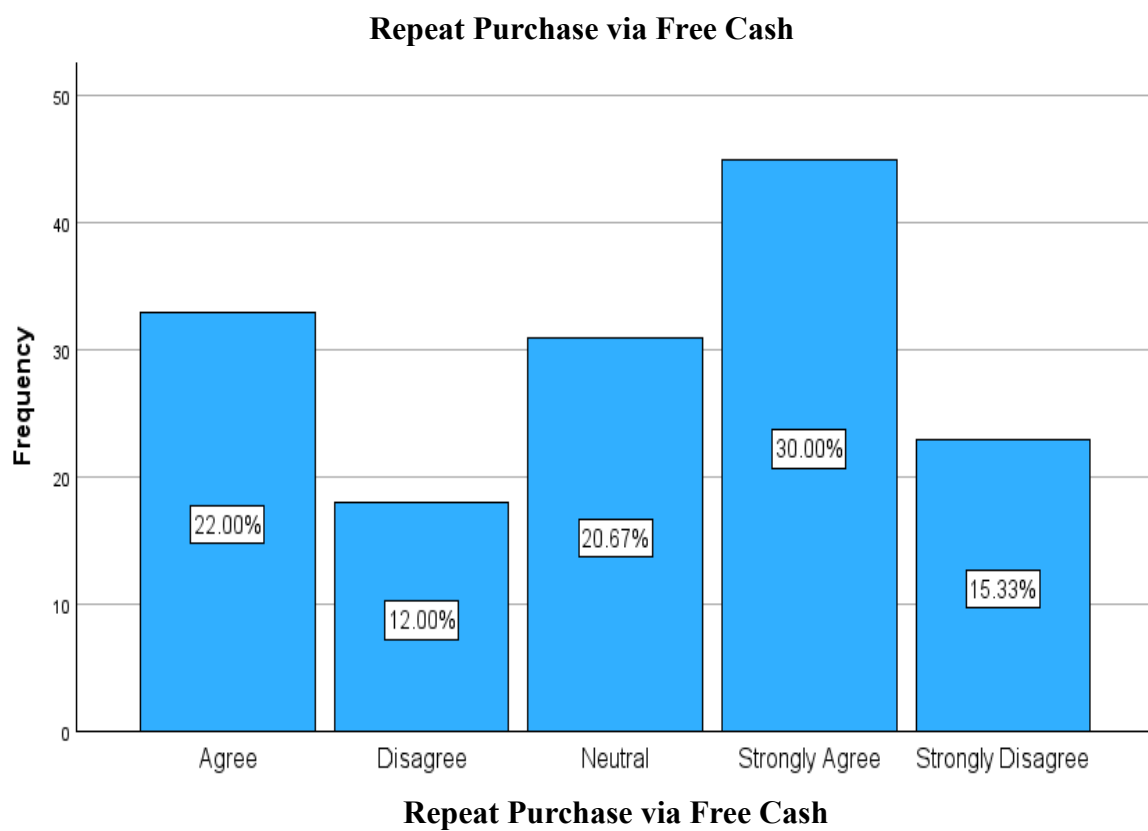
Cash offers are **effective in building loyalty** for half of the users, highlighting their value in retention strategies. However, the significant **neutral and negative responses** suggest that **cash rewards alone may not suffice** for all segments. Combining cash offers with **personalization or added convenience** may improve loyalty across the board.

4.1.10 Repeat Purchase via Free Cash

Table 4.1.10

Repeat Purchase via Free Cash					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	33	22.0	22.0	22.0
	Disagree	18	12.0	12.0	34.0
	Neutral	31	20.7	20.7	54.7
	Strongly Agree	45	30.0	30.0	84.7
	Strongly Disagree	23	15.3	15.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.10



INTERPRETATION:

Out of 150 respondents, **52%** (30% strongly agree, 22% agree) feel that **cash offers encourage them to make continued purchases** on Zepto. **20.7%** are neutral, while **27.3%** (12% disagree, 15.3% strongly disagree) do not share this view. This reflects a majority leaning positively, but with notable opposition.

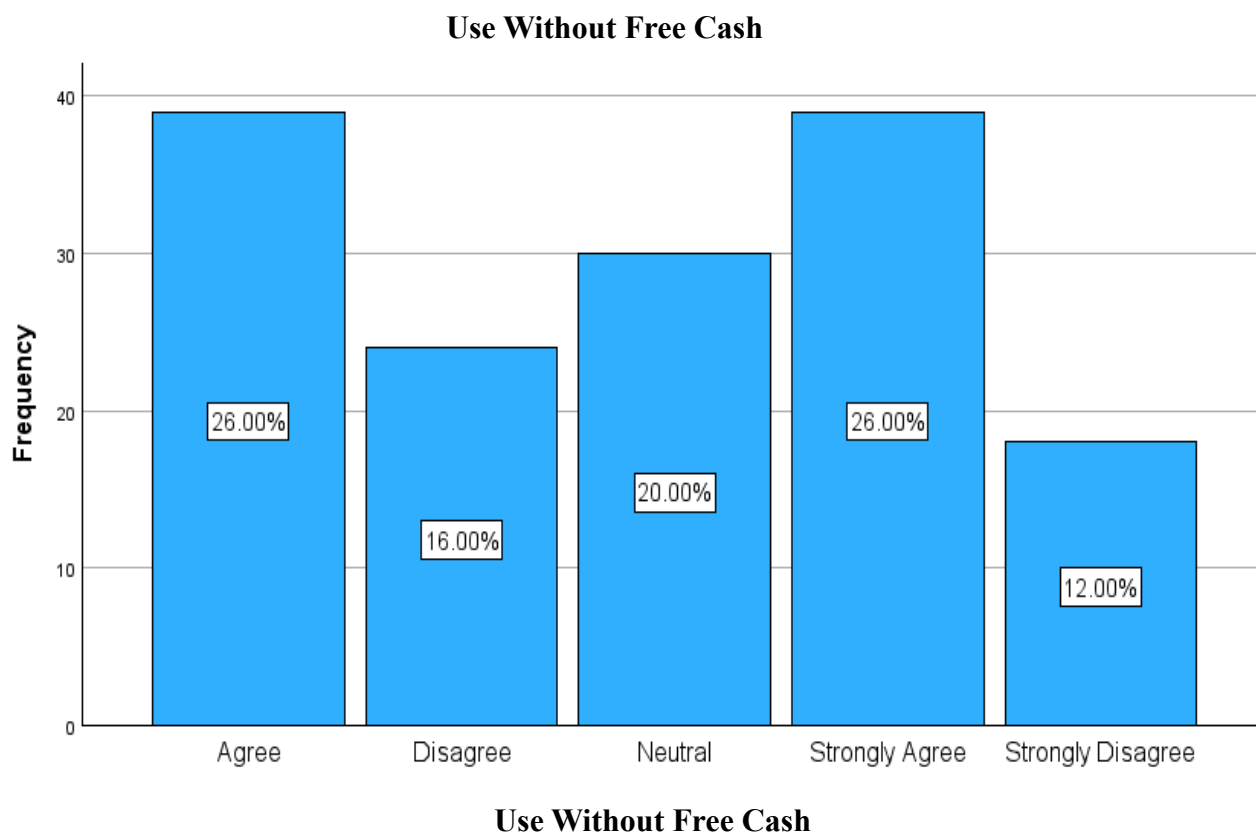
INFERENCE:

Cash offers are a **motivating factor for repeated purchases**, reinforcing their importance in the loyalty program. Yet, the presence of **over a quarter who disagree or feel neutral** signals a need for **diverse loyalty strategies**. Offering **flexible reward choices** or combining with personalized incentives could increase continued engagement.

4.1.11 Use Without Free Cash**Table 4.1.11**

Use Without Free Cash					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	39	26.0	26.0	26.0
	Disagree	24	16.0	16.0	42.0
	Neutral	30	20.0	20.0	62.0
	Strongly Agree	39	26.0	26.0	88.0
	Strongly Disagree	18	12.0	12.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.11

**INTERPRETATION:**

About **52%** of respondents (**26% agree, 26% strongly agree**) say they would **continue using the app even if cash offers were removed**. **20%** are neutral, while **28%** (**16% disagree, 12% strongly disagree**) might stop using it without those offers. This shows a balanced mix of loyalty and incentive dependency.

INFERENCE:

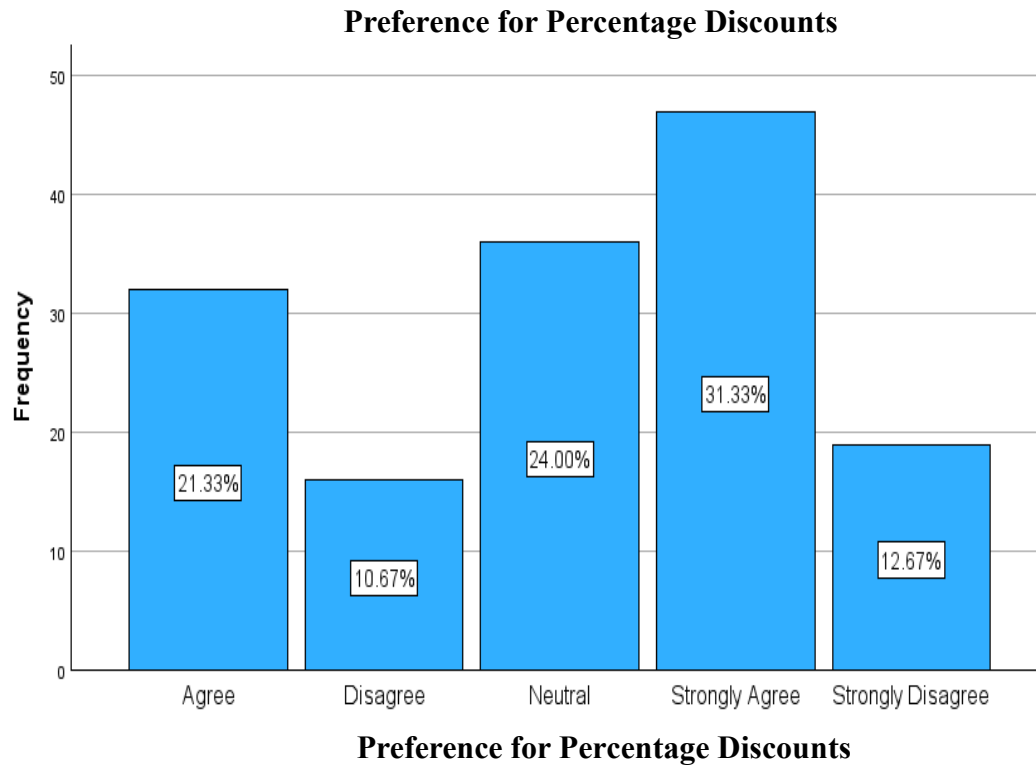
While over half of the users show **brand stickiness beyond cash rewards**, nearly a third rely on these offers as a **key motivator**. This indicates that while Zepto has a **solid loyal base**, retaining deal-driven users may require **other engaging features** like better UX or personalized deals if cash incentives are scaled down.

4.1.12 Preference for Percentage Discounts

Table 4.1.12

Preference for Percentage Discounts					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	32	21.3	21.3	21.3
	Disagree	16	10.7	10.7	32.0
	Neutral	36	24.0	24.0	56.0
	Strongly Agree	47	31.3	31.3	87.3
	Strongly Disagree	19	12.7	12.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.12



INTERPRETATION:

A total of **52.6%** of respondents (**31.3% strongly agree, 21.3% agree**) **prefer percentage discounts** on Zepto. **24%** are neutral, while **23.4%** (**10.7% disagree, 12.7% strongly disagree**) are less influenced by such discounts. This reflects a general positive inclination towards percentage-based promotions.

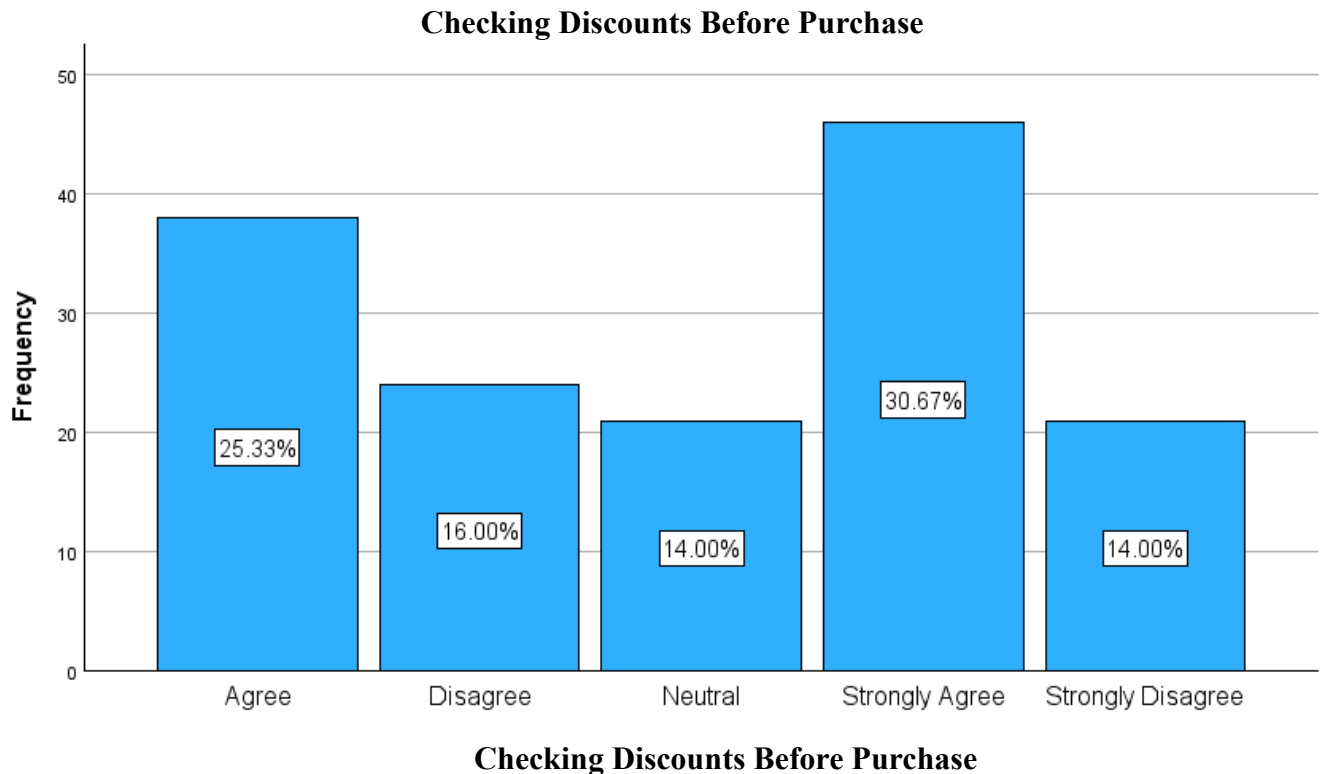
INFERENCE:

Percentage discounts are a **highly favored promotional strategy**, suggesting they can significantly influence customer purchase behavior and retention. However, with nearly a quarter of users indifferent or opposed, Zepto should consider **complementary offers** like flat discounts or bundled deals to **appeal to a wider audience**.

4.1.13 Checking Discounts Before Purchase**Table 4.1.13**

Checking Discounts Before Purchase					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	38	25.3	25.3	25.3
	Disagree	24	16.0	16.0	41.3
	Neutral	21	14.0	14.0	55.3
	Strongly Agree	46	30.7	30.7	86.0
	Strongly Disagree	21	14.0	14.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.13

**INTERPRETATION:**

A significant **56%** of respondents (**30.7% strongly agree, 25.3% agree**) **check for discounts before making a purchase** on Zepto. **14%** are neutral, while **30%** (**16% disagree, 14% strongly disagree**) do not actively look for discounts beforehand. This reveals a split between deal-seekers and routine buyers.

INFERENCE:

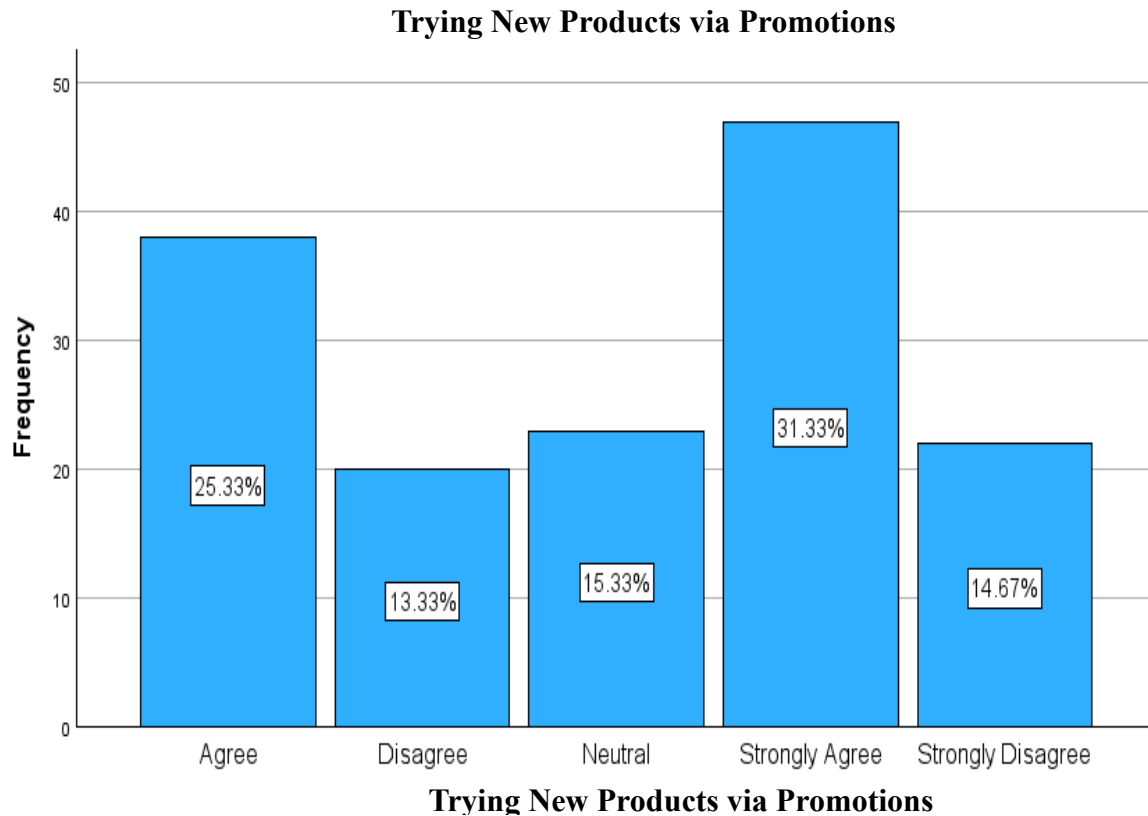
Discount visibility plays a **key role in influencing purchase decisions** for a majority of users. For optimal impact, Zepto should ensure **clear and timely display of available discounts**. However, since a sizable portion doesn't rely on discounts, combining value pricing with offers could cater to both **price-sensitive and convenience-focused segments**.

4.1.14 Trying New Products via Promotions

Table 4.1.14

Trying New Products via Promotions					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	38	25.3	25.3	25.3
	Disagree	20	13.3	13.3	38.7
	Neutral	23	15.3	15.3	54.0
	Strongly Agree	47	31.3	31.3	85.3
	Strongly Disagree	22	14.7	14.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.14



INTERPRETATION:

Around **56.6%** of respondents (**31.3% strongly agree, 25.3% agree**) believe that **promotions encourage them to try new products** on Zepto. **15.3%** remain neutral, while **28% (13.3% disagree, 14.7% strongly disagree)** are less influenced by promotional efforts in trying new items.

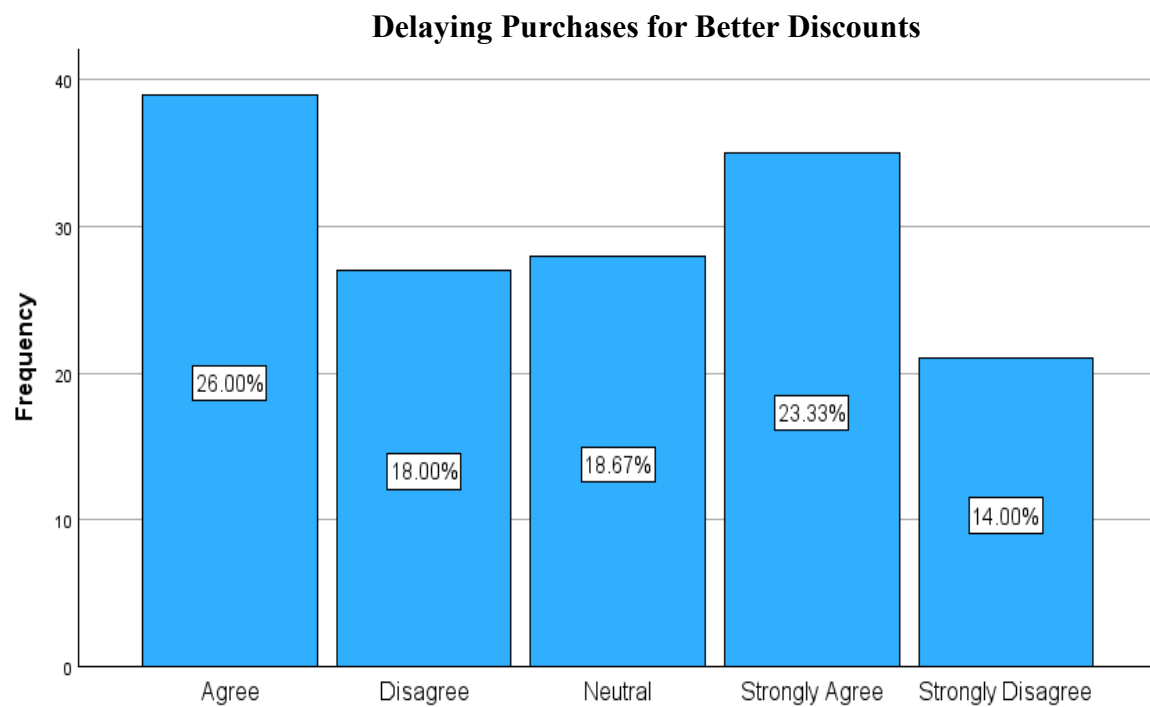
INFERENCE:

Promotional offers are effective in **driving product discovery and trial**, especially for new launches. This presents an opportunity for Zepto to use **targeted promotions** to push new inventory. However, to appeal to the less responsive group, Zepto could pair promos with **user reviews, ratings, or samples** to boost trust.

4.1.15 Delaying Purchases for Better Discounts**Table 4.1.15**

Delaying Purchases for Better Discounts					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	39	26.0	26.0	26.0
	Disagree	27	18.0	18.0	44.0
	Neutral	28	18.7	18.7	62.7
	Strongly Agree	35	23.3	23.3	86.0
	Strongly Disagree	21	14.0	14.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.15



Delaying Purchases for Better Discounts

INTERPRETATION:

A total of **49.3%** of respondents (**26% agree, 23.3% strongly agree**) say they **choose platforms that offer better discounts**. **18.7%** are neutral, while **32%** (**18% disagree, 14% strongly disagree**) are less driven by discounts when selecting a platform.

INFERENCE:

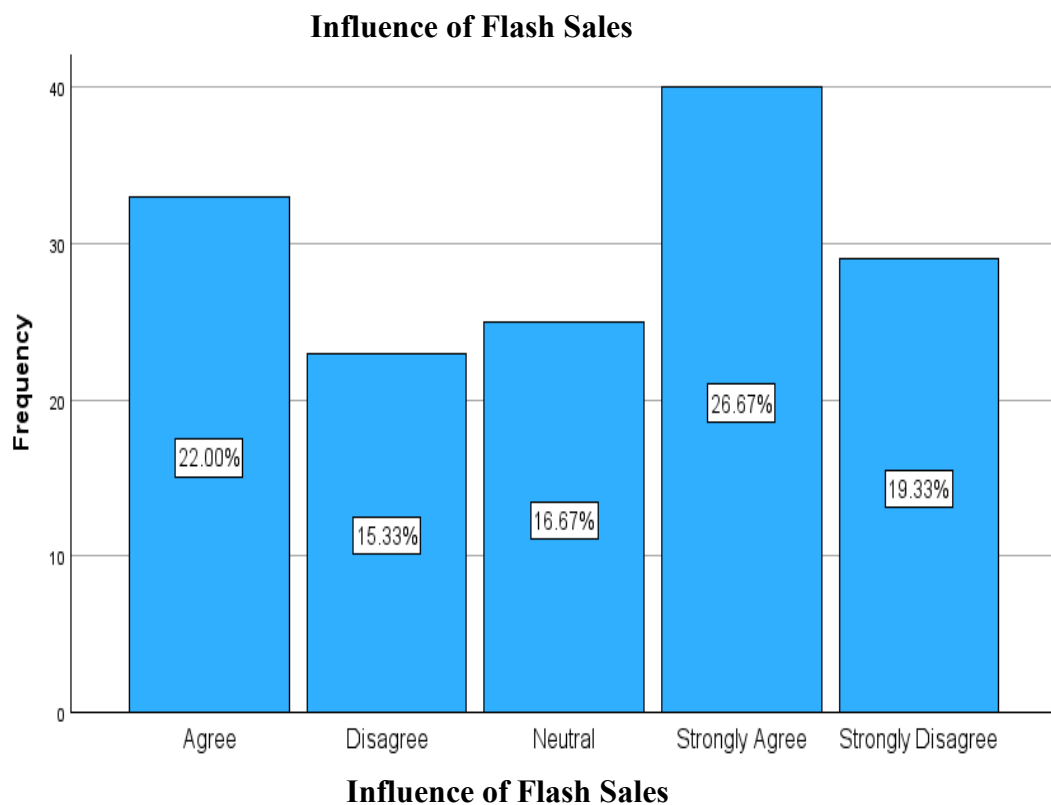
Discount-driven purchasing is a **key motivator for nearly half** the respondents, showing that **price competitiveness** is essential in customer acquisition and retention. However, with a notable portion not swayed by discounts alone, Zepto should maintain focus on **value-added services like delivery speed and app experience** to retain broader appeal.

4.1.16 Influence of Flash Sales

Table 4.1.16

Influence of Flash Sales					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	33	22.0	22.0	22.0
	Disagree	23	15.3	15.3	37.3
	Neutral	25	16.7	16.7	54.0
	Strongly Agree	40	26.7	26.7	80.7
	Strongly Disagree	29	19.3	19.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.16



INTERPRETATION:

A combined **48.7%** of respondents (**26.7% strongly agree, 22% agree**) feel that **limited-time offers influence their shopping decisions**. **16.7%** are neutral, while **34.6%** (**15.3% disagree, 19.3% strongly disagree**) are less impacted by time-sensitive deals.

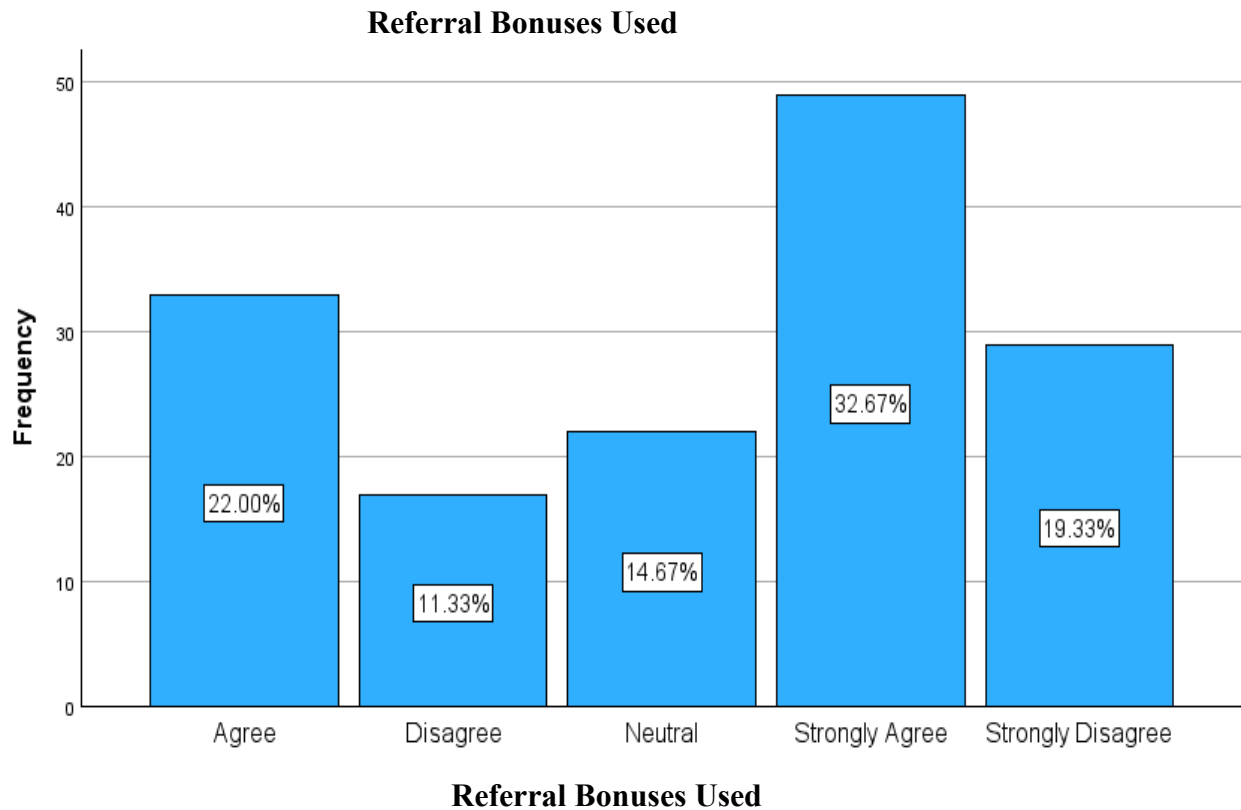
INFERENCE:

Limited-time offers are an effective tool to **create urgency and drive quick purchases** for nearly half of Zepto's users. However, the relatively high disagreement indicates that **overuse may lead to fatigue**. Zepto should strategically use flash deals to retain impact without overwhelming users.

4.1.17 Referral Bonuses Used**Table 4.1.17**

Referral Bonuses Used					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	33	22.0	22.0	22.0
	Disagree	17	11.3	11.3	33.3
	Neutral	22	14.7	14.7	48.0
	Strongly Agree	49	32.7	32.7	80.7
	Strongly Disagree	29	19.3	19.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.17

**INTERPRETATION:**

A total of **54.7%** of respondents (**32.7% strongly agree, 22% agree**) say that **referral bonuses encourage them to use the platform**. **14.7%** are neutral, while **30.6%** (**11.3% disagree, 19.3% strongly disagree**) are not influenced by referral schemes.

INFERENCE:

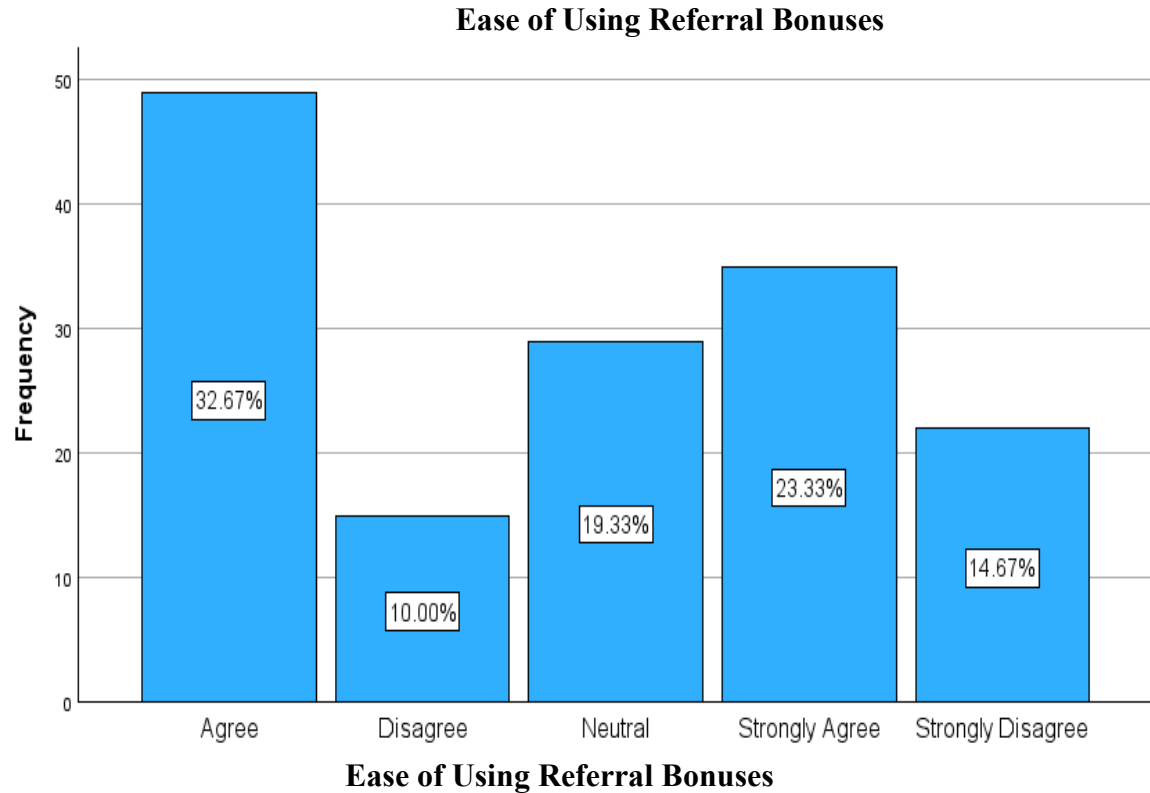
Referral bonuses are a **strong motivator** for more than half of the users, making them effective for **expanding the customer base through peer networks**. However, since nearly a third remain unaffected, Zepto could **complement referral programs** with personalized offers to engage those users as well.

4.1.18 Ease of Using Referral Bonuses

Table 4.1.18

Ease of Using Referral Bonuses					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	49	32.7	32.7	32.7
	Disagree	15	10.0	10.0	42.7
	Neutral	29	19.3	19.3	62.0
	Strongly Agree	35	23.3	23.3	85.3
	Strongly Disagree	22	14.7	14.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.18



INTERPRETATION:

A combined **56%** of respondents (**32.7% agree, 23.3% strongly agree**) believe that **tracking and redeeming referral bonuses is easy**. **19.3%** are neutral, and **24.7%** (**10% disagree, 14.7% strongly disagree**) find it less user-friendly.

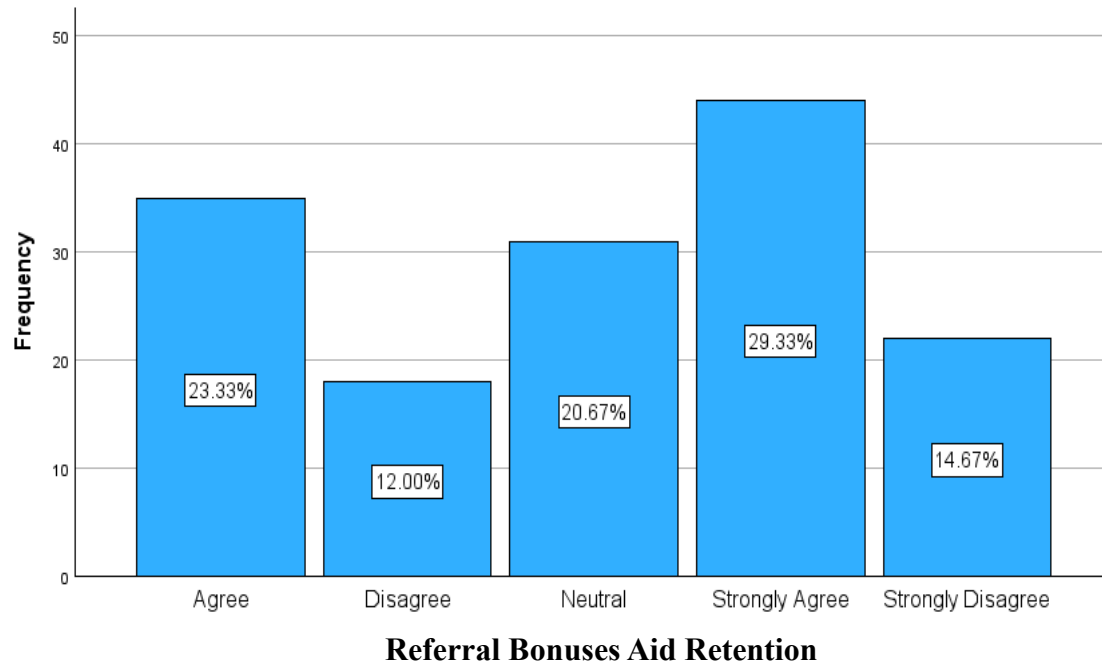
INFERENCE:

The majority finds the **referral system convenient to use**, which can improve participation and satisfaction. However, the quarter of users facing difficulty suggests a need for **simplified interfaces or clearer instructions** to boost overall engagement and trust in the program.

4.19 Referral Bonuses Aid Retention**Table 4.1.19**

Referral Bonuses Aid Retention					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	35	23.3	23.3	23.3
	Disagree	18	12.0	12.0	35.3
	Neutral	31	20.7	20.7	56.0
	Strongly Agree	44	29.3	29.3	85.3
	Strongly Disagree	22	14.7	14.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.19

Referral Bonuses Aid Retention**INTERPRETATION:**

A total of **52.6%** of respondents (**29.3% strongly agree, 23.3% agree**) feel that **referral bonuses help in retaining customers**. **20.7%** are neutral, while **26.7%** (**12% disagree, 14.7% strongly disagree**) are not convinced.

INFERENCE:

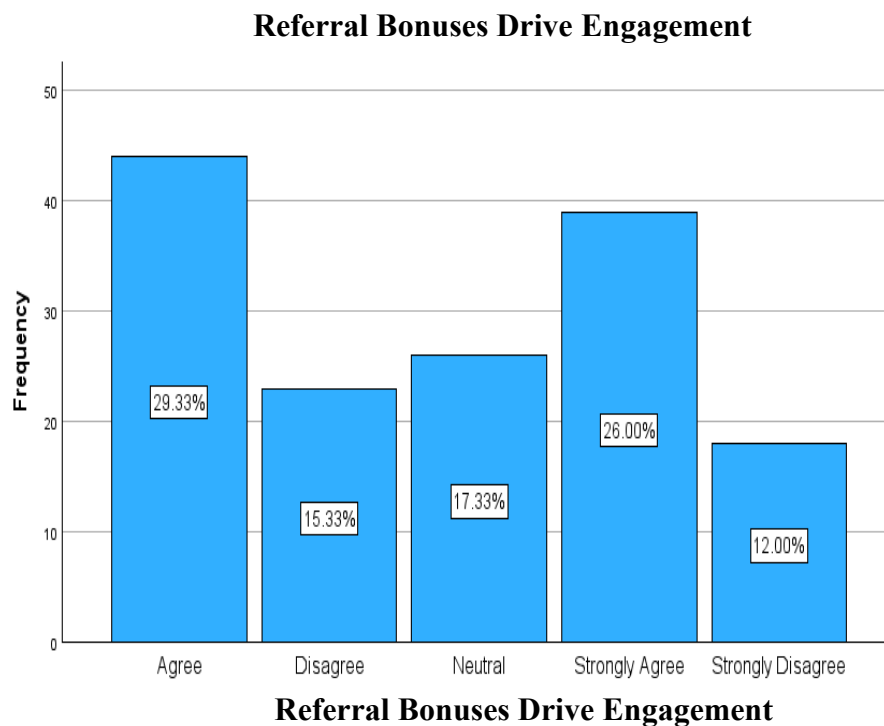
More than half of the users recognize referral bonuses as a **useful tool for customer retention**, indicating their importance in loyalty strategies. However, the **significant neutral and negative responses** suggest that referral bonuses should be paired with **other loyalty incentives** for broader impact.

4.1.20 Referral Bonuses Drive Engagement

Table 4.1.20

Referral Bonuses Drive Engagement					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	44	29.3	29.3	29.3
	Disagree	23	15.3	15.3	44.7
	Neutral	26	17.3	17.3	62.0
	Strongly Agree	39	26.0	26.0	88.0
	Strongly Disagree	18	12.0	12.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.20



INTERPRETATION:

A total of **55.3%** of respondents (**29.3% agree, 26% strongly agree**) believe that **referral bonuses enhance customer engagement**. Meanwhile, **17.3%** remained neutral, and **27.3% (15.3% disagree, 12% strongly disagree)** disagreed with the statement.

INFERENCE:

The results indicate that **more than half** of the users consider referral bonuses an **effective strategy to drive engagement**. However, the noticeable level of disagreement suggests the need for **better execution or communication** of referral benefits to maximize their impact.

4.21 Received Personalized Offers**Table 4.1.21**

Received Personalized Offers					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	44	29.3	29.3	29.3
	Disagree	23	15.3	15.3	44.7
	Neutral	17	11.3	11.3	56.0
	Strongly Agree	44	29.3	29.3	85.3
	Strongly Disagree	22	14.7	14.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.21

**INTERPRETATION:**

A combined **58.6%** of respondents (**29.3% agree, 29.3% strongly agree**) felt **personally rewarded** when receiving referral bonuses. Meanwhile, **11.3%** were neutral, and **30%** (**15.3% disagree, 14.7% strongly disagree**) did not feel personally rewarded.

INFERENCE:

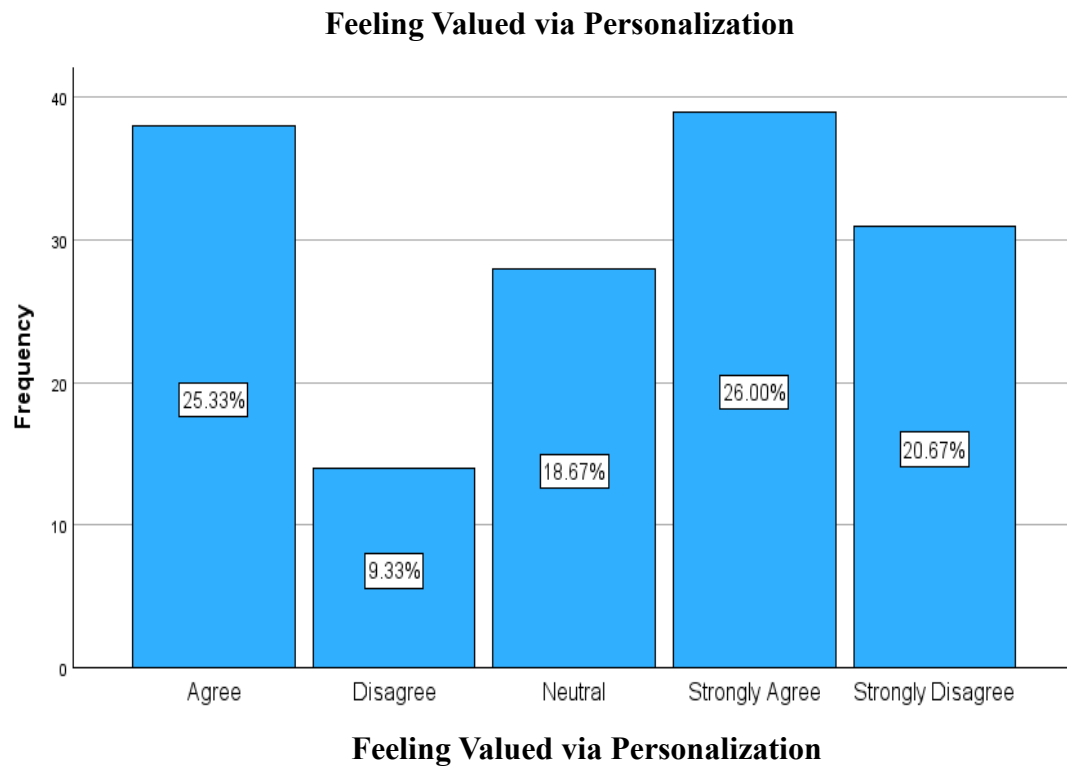
The data shows that **a majority of users emotionally value referral bonuses**, linking them to personal rewards. This emotional connection can be leveraged by Zepto to **strengthen brand affinity** and deepen **customer loyalty**.

4.1.22 Feeling Valued via Personalization

Table 4.1.22

Feeling Valued via Personalization					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	38	25.3	25.3	25.3
	Disagree	14	9.3	9.3	34.7
	Neutral	28	18.7	18.7	53.3
	Strongly Agree	39	26.0	26.0	79.3
	Strongly Disagree	31	20.7	20.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.22



INTERPRETATION:

A total of **51.3%** of respondents (25.3% agree + 26.0% strongly agree) **feel personally valued** as a customer. **18.7%** remain **neutral**, while a significant **30%** (9.3% disagree + 20.7% strongly disagree) **do not feel valued**.

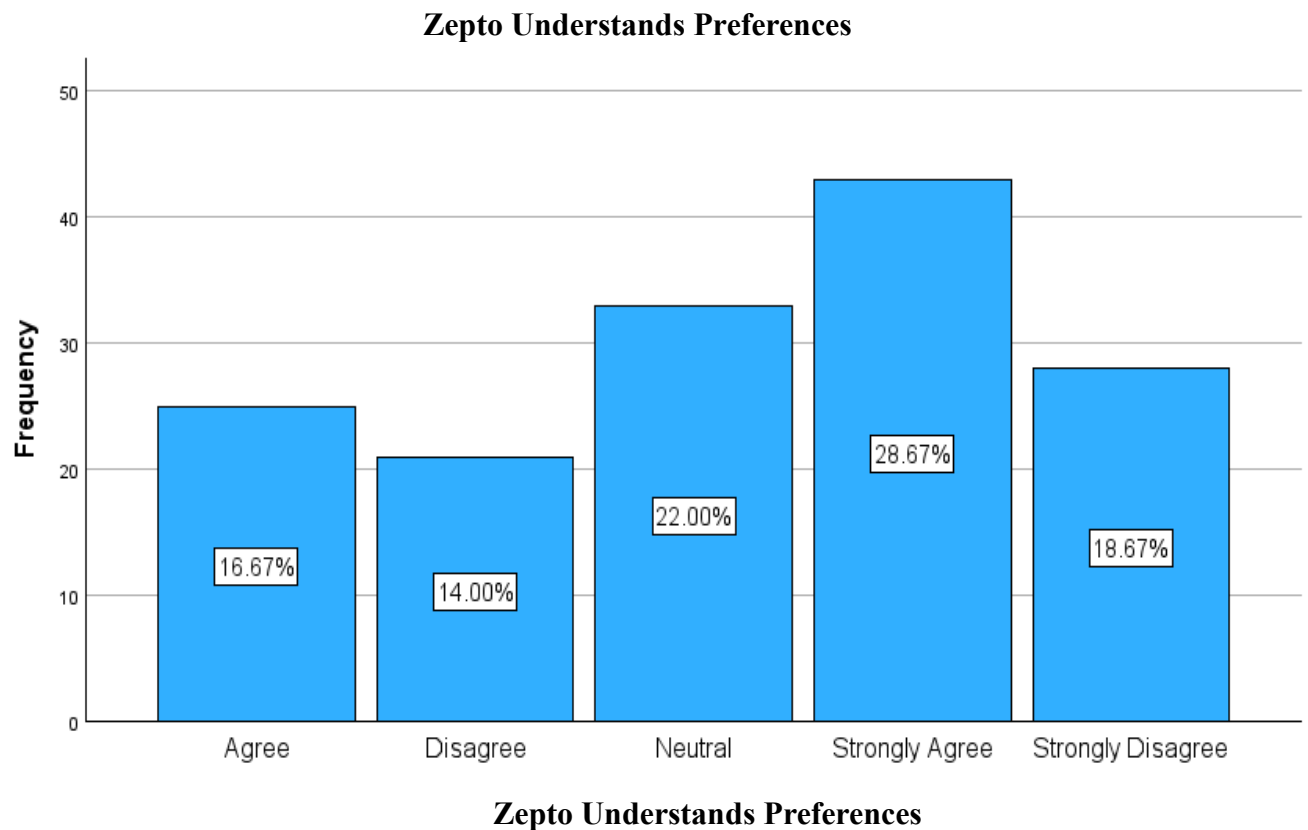
INFERENCE:

While more than half of the customers feel valued by the platform, a **notable portion still feels neglected**. Zepto should enhance **personalized engagement strategies** to ensure more users feel appreciated and emotionally connected to the brand.

4.1.23 Zepto Understands Preferences**Table 4.1.23**

Zepto Understands Preferences					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	25	16.7	16.7	16.7
	Disagree	21	14.0	14.0	30.7
	Neutral	33	22.0	22.0	52.7
	Strongly Agree	43	28.7	28.7	81.3
	Strongly Disagree	28	18.7	18.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.23

**INTERPRETATION:**

About **45.4%** of respondents (16.7% agree + 28.7% strongly agree) feel that **their shopping preferences are well understood**. Meanwhile, **22% remain neutral**, and **32.7%** (14% disagree + 18.7% strongly disagree) feel **otherwise**.

INFERENCE:

Although nearly half of the customers feel understood, the **notable dissatisfaction** and neutrality indicate that Zepto needs to **refine its personalization tactics**—like product suggestions, purchase history tracking, and customized offers—to better match individual customer preferences.

4.1.24 Ignored Irrelevant Personalized Offers

Table 4.1.24

Ignored Irrelevant Personalized Offers					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	38	25.3	25.3	25.3
	Disagree	28	18.7	18.7	44.0
	Neutral	23	15.3	15.3	59.3
	Strongly Agree	39	26.0	26.0	85.3
	Strongly Disagree	22	14.7	14.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.24



INTERPRETATION:

A combined **51.3%** of respondents (25.3% agree + 26% strongly agree) feel that **personalized offers are ignored or irrelevant**. Only **33.4%** (18.7% disagree + 14.7% strongly disagree) disagree with the statement, while **15.3%** remain neutral.

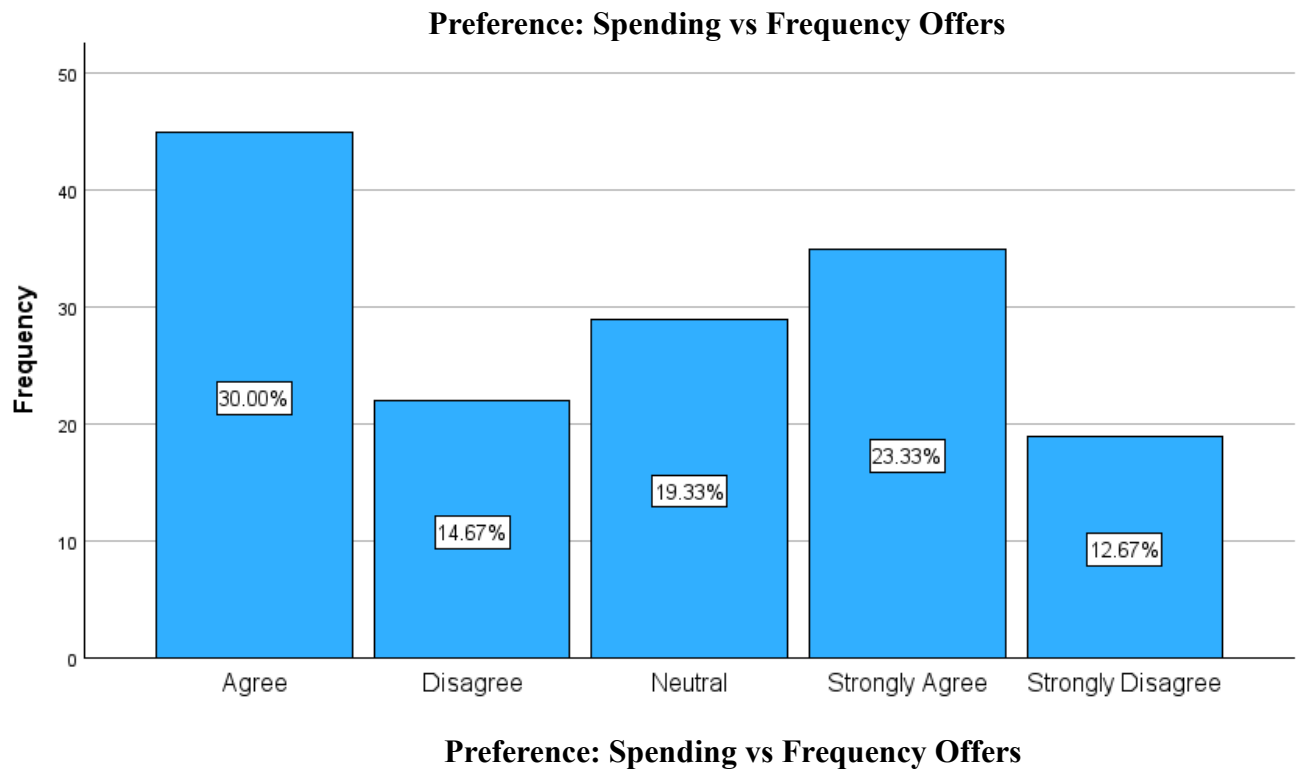
INFERENCE:

The data suggests that **more than half** of the users are dissatisfied with the relevance of personalized offers. Zepto should consider improving **targeted marketing strategies** using customer behavior and preferences to make offers more **meaningful and engaging**.

4.1.25 Preference: Spending vs Frequency Offers**Table 4.1.25**

Preference: Spending vs Frequency Offers					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	45	30.0	30.0	30.0
	Disagree	22	14.7	14.7	44.7
	Neutral	29	19.3	19.3	64.0
	Strongly Agree	35	23.3	23.3	87.3
	Strongly Disagree	19	12.7	12.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.25

**INTERPRETATION:**

A total of **53.3%** of respondents (30% agree + 23.3% strongly agree) believe that **personalized offers match their spending habits and shopping frequency**. Meanwhile, **27.4%** (14.7% disagree + 12.7% strongly disagree) do not feel the same, and **19.3%** remain neutral.

INFERENCE:

The majority of customers feel that personalized offers are generally **well-aligned with their shopping behavior**, indicating that Zepto's personalization efforts are **effective for over half** the users. However, with over a quarter expressing dissatisfaction, there is room for **further refinement** in offer customization to reach a broader audience.

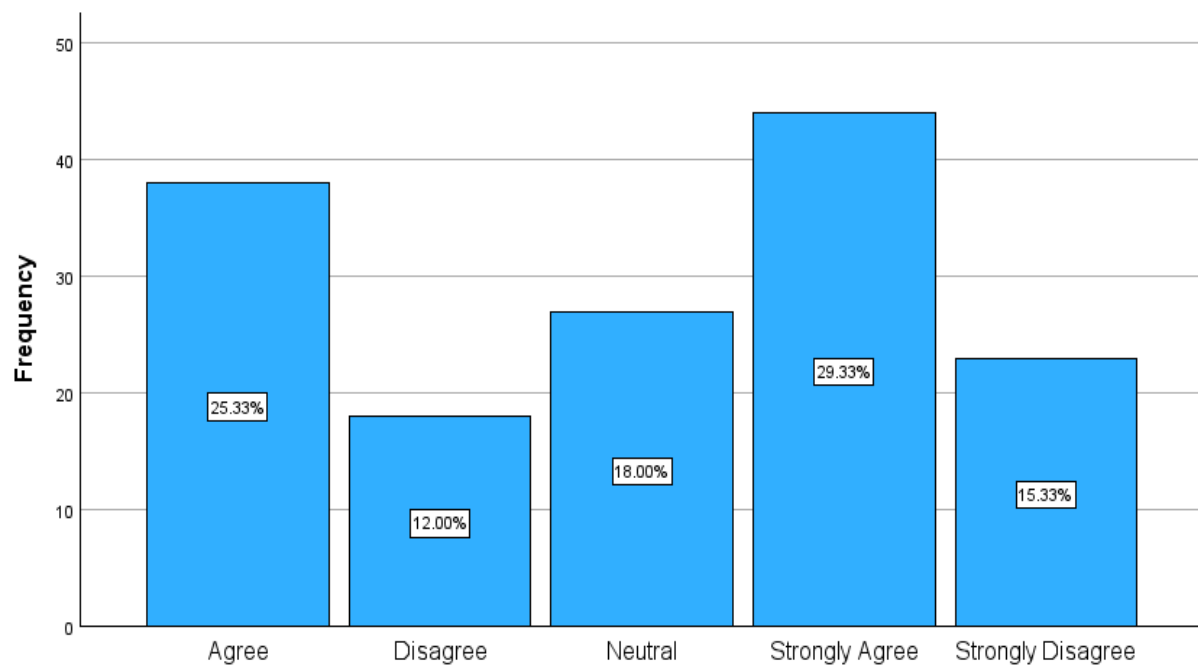
4.1.26 Loyalty Program Subscribed

Table 4.1.26

Loyalty Program Subscribed					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	38	25.3	25.3	25.3
	Disagree	18	12.0	12.0	37.3
	Neutral	27	18.0	18.0	55.3
	Strongly Agree	44	29.3	29.3	84.7
	Strongly Disagree	23	15.3	15.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.26

Loyalty Program Subscribed



Loyalty Program Subscribed

INTERPRETATION:

About **54.6%** of respondents (25.3% agree + 29.3% strongly agree) believe that **subscription-based offers have influenced their loyalty** to Zepto. On the other hand, **27.3%** (12% disagree + 15.3% strongly disagree) do not feel this way, while **18%** remain neutral.

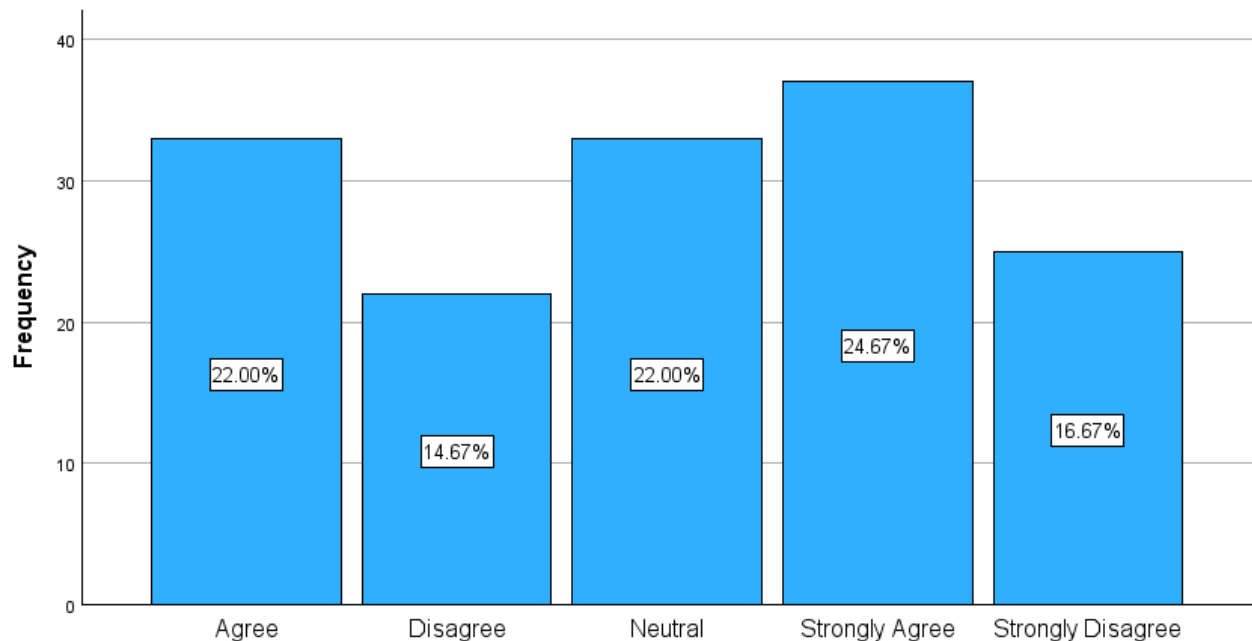
INFERENCE:

More than half of the users associate their **brand loyalty with Zepto's subscription offerings**, suggesting these programs are **positively impacting customer retention**. However, the notable portion of disagreement and neutrality indicates a need for **enhancing or better communicating the value** of these offers.

4.1.27 Subscription Encourages Frequent Shopping**Table 4.1.27**

Subscription Encourages Frequent Shopping					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	33	22.0	22.0	22.0
	Disagree	22	14.7	14.7	36.7
	Neutral	33	22.0	22.0	58.7
	Strongly Agree	37	24.7	24.7	83.3
	Strongly Disagree	25	16.7	16.7	100.0
	Total	150	100.0	100.0	

Chart 4.1.27

Subscription Encourages Frequent Shopping**Subscription Encourages Frequent Shopping****INTERPRETATION:**

A total of **46.7%** of respondents (22.0% agree + 24.7% strongly agree) feel that **subscription-based offers increase their shopping frequency** with Zepto. Meanwhile, **31.4%** (14.7% disagree + 16.7% strongly disagree) disagree, and **22%** remain neutral.

INFERENCE:

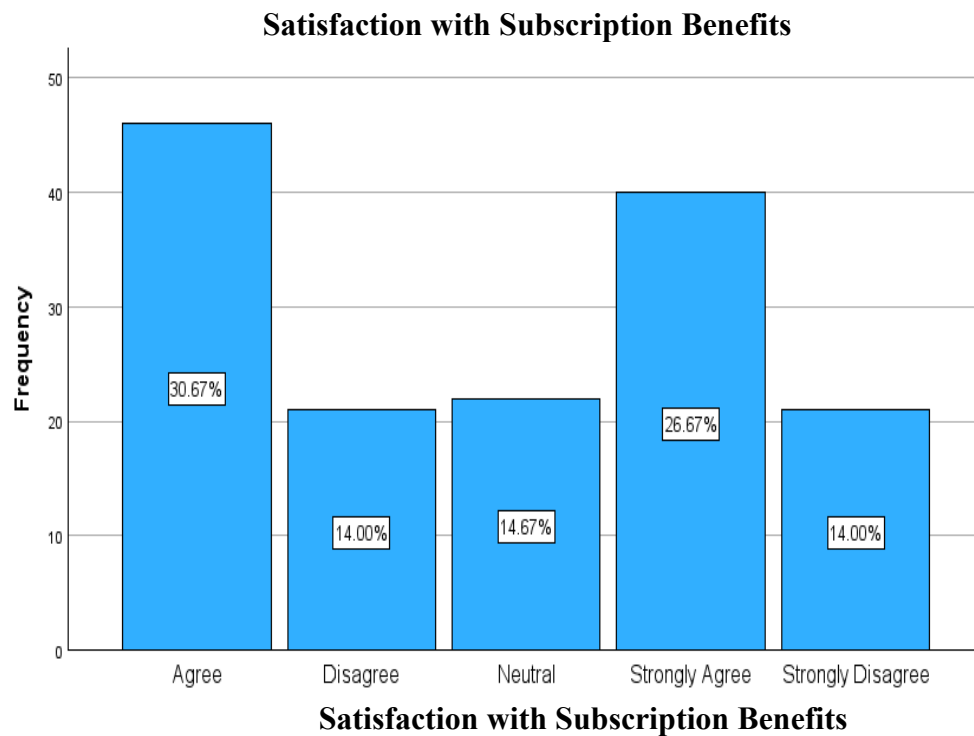
Nearly half of the users find that **subscription offers play a role in their shopping frequency**, indicating these programs can effectively **drive repeat purchases**. However, the relatively high neutral and disagreement responses suggest a need for **further personalization or awareness efforts** to boost their effectiveness.

4.1.28 Satisfaction with Subscription Benefits

Table 4.1.28

Satisfaction with Subscription Benefits					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	46	30.7	30.7	30.7
	Disagree	21	14.0	14.0	44.7
	Neutral	22	14.7	14.7	59.3
	Strongly Agree	40	26.7	26.7	86.0
	Strongly Disagree	21	14.0	14.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.28



INTERPRETATION:

A majority of respondents—**57.4%** (30.7% agree + 26.7% strongly agree)—express **satisfaction with high-value subscription benefits**. In contrast, **28%** (14.0% disagree + 14.0% strongly disagree) are **not satisfied**, while **14.7%** remain neutral.

INFERENCE:

Most users are **positively inclined** toward high-value subscription benefits, indicating that these offers are perceived as **worthwhile and effective**. However, the presence of dissatisfied respondents suggests there is room to **enhance value or better communicate benefits** to convert skeptics and neutrals.

4.1.29 Subscription Renewed**Table 4.1.29**

Subscription Renewed					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	53	35.3	35.3	35.3
	Disagree	12	8.0	8.0	43.3
	Neutral	31	20.7	20.7	64.0
	Strongly Agree	40	26.7	26.7	90.7
	Strongly Disagree	14	9.3	9.3	100.0
	Total	150	100.0	100.0	

Chart 4.1.29

**INTERPRETATION:**

A strong **62%** of respondents (35.3% agree + 26.7% strongly agree) **renewed their Zepto subscription** after the first period. Only **17.3%** disagreed or strongly disagreed, and **20.7%** remained neutral.

INFERENCE:

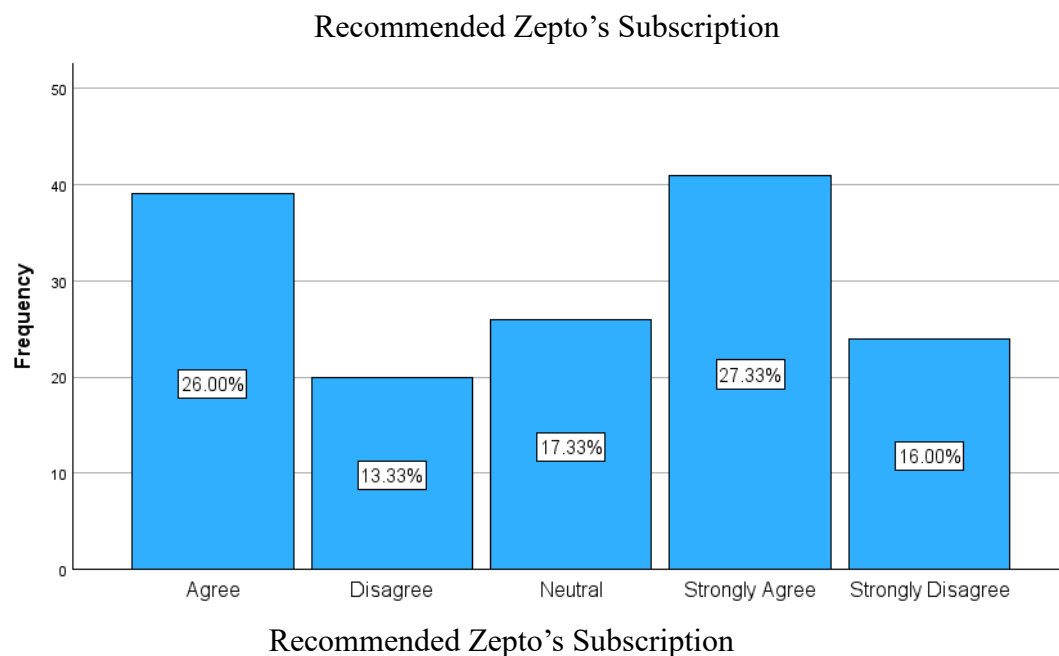
The high renewal rate suggests that **Zepto's subscription model delivers perceived value**, leading to continued usage. However, the neutral and negative responses imply that some users may need **more convincing through improved benefits or service consistency** to ensure future renewals.

4.130 The Zepto's subscription program is recommended to others.

Table 4.1.30

The Zepto's subscription program is recommended to others					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Agree	39	26.0	26.0	26.0
	Disagree	20	13.3	13.3	39.3
	Neutral	26	17.3	17.3	56.7
	Strongly Agree	41	27.3	27.3	84.0
	Strongly Disagree	24	16.0	16.0	100.0
	Total	150	100.0	100.0	

Chart 4.1.30



INTERPRETATION:

A total of **53.3%** of respondents (26% agree + 27.3% strongly agree) indicated they would **recommend Zepto's subscription program** to others. Meanwhile, **29.3%** (13.3% disagree + 16% strongly disagree) would not recommend it, and **17.3%** stayed neutral.

INFERENCE:

More than half of the users are satisfied enough with Zepto's subscription service to advocate for it, highlighting **positive word-of-mouth potential**. However, the sizable share of non-recommenders suggests **room for improvement** in user experience or benefits to boost advocacy further.

4.2 REGRESSION ANALYSIS

4.2.1 Regression Analysis and Tables for Freecash offers and Customer retention

Null Hypothesis (H_0):

There is **no significant impact** of free cash offers on customer retention.

Alternative Hypothesis (H_1):

There is a **significant impact** of free cash offers on customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Customer retention	2.937	1.0639	150
Freecash offers	3.372	.8441	150

Correlations			
		Customer retention	Freecash offers
Pearson Correlation	Customer retention	1.000	.342
	Freecash offers	.342	1.000
Sig. (1-tailed)	Customer retention	.	<.001
	Freecash offers	.000	.
N	Customer retention	150	150
	Freecash offers	150	150

Model Summary				
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.342 ^a	.117	.111	1.0032
a. Predictors: (Constant), Freecash offers				

Interpretation:

The coefficient for free cash offers is 0.431 with a p-value < 0.001 , indicating a significant positive relationship with customer retention. This means free cash offers contribute to increased customer retention.

Inference:

Since the p-value is less than 0.05, we reject the null hypothesis. Free cash offers significantly influence and enhance customer retention.

4.2.2 Regression Analysis and Tables for Discounts and promotions and Customer retention

Null Hypothesis (H_0):

Discounts and promotions have no significant effect on customer retention.

Alternative Hypothesis (H_1):

Discounts and promotions have a significant effect on customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Customer retention	2.937	1.0639	150
Discounts and promotions	3.368	.8805	150

Correlations			
		Customer retention	Discounts and promotions
Pearson Correlation	Customer retention	1.000	.297
	Discounts and promotions	.297	1.000
Sig. (1-tailed)	Customer retention	.	<.001
	Discounts and promotions	.000	.
N	Customer retention	150	150
	Discounts and promotions	150	150

Model Summary				
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.297 ^a	.088	.082	1.0192
a. Predictors: (Constant), Discounts and promotions				

Interpretation:

The coefficient for discounts and promotions is 0.359 with a p-value < 0.001, indicating a statistically significant positive impact on customer retention.

Inference:

Since the p-value is below 0.05, we reject the null hypothesis. Thus, discounts and promotions significantly enhance customer retention.

4.2.3 Regression Analysis and Tables for Refferal bonus and Customer retention

Null Hypothesis (H_0):

Referral bonus has no significant effect on customer retention.

Alternative Hypothesis (H_1):

Referral bonus has a significant effect on customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Customer retention	2.937	1.0639	150
Refferal bonus	3.400	.8814	150

Correlations			
		Customer retention	Refferal bonus
Pearson Correlation	Customer retention	1.000	.183
	Refferal bonus	.183	1.000
Sig. (1-tailed)	Customer retention	.	.013
	Refferal bonus	.013	.
N	Customer retention	150	150
	Refferal bonus	150	150

Model Summary				
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.183 ^a	.033	.027	1.0495
a. Predictors: (Constant), Referral bonus				

Interpretation:

The coefficient for referral bonus is 0.221 with a p-value of 0.025, which is less than 0.05, indicating a statistically significant positive relationship with customer retention.

Inference:

As the p-value is below 0.05, we reject the null hypothesis. Therefore, referral bonuses significantly contribute to improving customer retention.

4.2.4 Regression Analysis and Tables for Personalised rewards and Customer retention

Null Hypothesis (H₀):

Personalised rewards have no significant effect on customer retention.

Alternative Hypothesis (H₁):

Personalised rewards have a significant effect on customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Customer retention	2.937	1.0639	150
Personalised rewards	3.317	.9129	150

Correlations			
		Customer retention	Personalised rewards
Pearson Correlation	Customer retention	1.000	.305
	Personalised rewards	.305	1.000
Sig. (1-tailed)	Customer retention	.	<.001
	Personalised rewards	.000	.
N	Customer retention	150	150
	Personalised rewards	150	150

Model Summary				
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.305 ^a	.093	.087	1.0167
a. Predictors: (Constant), Personalised rewards				

Interpretation:

The coefficient for personalised rewards is 0.355 with a p-value less than 0.001, indicating a significant and positive influence on customer retention.

Inference:

Since the p-value is below 0.05, we reject the null hypothesis. This implies that personalised rewards significantly enhance customer retention.

4.2.5 Regression Analysis and Tables for Subscription benefits and Customer retention

Null Hypothesis (H_0):

Subscription benefits have no significant effect on customer retention.

Alternative Hypothesis (H_1):

Subscription benefits have a significant effect on customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Customer retention	2.937	1.0639	150
Subscription benefits	3.407	.8115	150

Correlations			
		Customer retention	Subscription benefits
Pearson Correlation	Customer retention	1.000	.245
	Subscription benefits	.245	1.000
Sig. (1-tailed)	Customer retention	.	.001
	Subscription benefits	.001	.
N	Customer retention	150	150
	Subscription benefits	150	150

Model Summary				
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.245 ^a	.060	.054	1.0348
a. Predictors: (Constant), Subscription benefits				

Interpretation:

The regression coefficient for subscription benefits is **0.322** with a **p-value of 0.002**, which is less than 0.05. This shows a statistically significant and positive impact on customer retention.

Inference:

Since the p-value is < 0.05 , we **reject the null hypothesis**. This indicates that subscription benefits significantly contribute to improving customer retention.

4.3 CORRELATION ANALYSIS

The purpose of correlation analysis in this study is to examine and understand the relationships between various loyalty program components—such as personalized rewards, referral bonuses, free cash offers, discounts and promotions, and subscription benefits—and their impact on customer retention. By identifying whether these loyalty elements have a positive or negative correlation with customer retention, businesses like Zepto can determine which strategies significantly influence consumer loyalty. This analysis enables stakeholders to prioritize the most effective features of the loyalty program, optimize customer engagement, and enhance long-term retention outcomes.

4.3.1 Correlation Analysis and table for Freecash offers and Customer retention

Null Hypothesis (H_0):

There is no significant relationship between free cash offers and customer retention.

Alternative Hypothesis (H_1):

There is a significant relationship between free cash offers and customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Freecash offers	3.372	.8441	150
Customer retention	2.937	1.0639	150

Correlations			
		Freecash offers	Customer retention
Freecash offers	Pearson Correlation	1	.342**
	Sig. (2-tailed)		<.001
	N	150	150
Customer retention	Pearson Correlation	.342**	1
	Sig. (2-tailed)	<.001	
	N	150	150
**. Correlation is significant at the 0.01 level (2-tailed).			

Interpretation:

The **Pearson correlation coefficient is 0.342** with a **p-value < 0.001**, indicating a **moderate positive correlation** between free cash offers and customer retention, which is statistically significant at the 0.01 level.

Inference:

Since the p-value is less than 0.01, we **reject the null hypothesis**. This suggests that free cash offers are significantly associated with higher customer retention.

4.3.1 Correlation Analysis and table for Discounts and promotions and Customer retention**Null Hypothesis (H₀):**

There is no significant relationship between discounts and promotions and customer retention.

Alternative Hypothesis (H₁):

There is a significant relationship between discounts and promotions and customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Discounts and promotions	3.368	.8805	150
Customer retention	2.937	1.0639	150

Correlations			
		Discounts and promotions	Customer retention
Discounts and promotions	Pearson Correlation	1	.297**
	Sig. (2-tailed)		<.001
	N	150	150
Customer retention	Pearson Correlation	.297**	1
	Sig. (2-tailed)	<.001	
	N	150	150
**. Correlation is significant at the 0.01 level (2-tailed).			

Interpretation:

The **Pearson correlation coefficient is 0.297** with a **p-value < 0.001**, indicating a **moderate positive correlation** between discounts/promotions and customer retention, which is statistically significant at the 0.01 level.

Inference:

Since the p-value is less than 0.01, we **reject the null hypothesis**. This implies that discounts and promotional offers significantly contribute to improved customer retention.

4.3.3 Correlation Analysis and table for Referral bonus and Customer retention**Null Hypothesis (H₀):**

There is no significant relationship between referral bonus and customer retention.

Alternative Hypothesis (H₁):

There is a significant relationship between referral bonus and customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Refferal bonus	3.400	.8814	150
Customer retention	2.937	1.0639	150

Correlations			
		Refferal bonus	Customer retention
Refferal bonus	Pearson Correlation	1	.183*
	Sig. (2-tailed)		.025
	N	150	150
Customer retention	Pearson Correlation	.183*	1
	Sig. (2-tailed)	.025	
	N	150	150
*. Correlation is significant at the 0.05 level (2-tailed).			

Interpretation:

The Pearson correlation coefficient is 0.183 with a p-value of 0.025, indicating a weak positive correlation between referral bonus and customer retention, which is statistically significant at the 0.05 level.

Inference:

Since the p-value is less than 0.05, we **reject the null hypothesis**. This suggests that referral bonuses have a statistically significant impact on customer retention, even though the relationship is relatively weak.

4.3.4 Correlation Analysis and table for Personalised rewards and Customer retention

Null Hypothesis (H_0):

There is no significant relationship between personalised rewards and customer retention.

Alternative Hypothesis (H_1):

There is a significant relationship between personalised rewards and customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Personalised rewards	3.317	.9129	150
Customer retention	2.937	1.0639	150

Correlations			
		Personalised rewards	Customer retention
Personalised rewards	Pearson Correlation	1	.305**
	Sig. (2-tailed)		<.001
	N	150	150
Customer retention	Pearson Correlation	.305**	1
	Sig. (2-tailed)	<.001	
	N	150	150
**. Correlation is significant at the 0.01 level (2-tailed).			

Interpretation:

The **Pearson correlation coefficient is 0.305** with a **p-value < 0.001**, showing a **moderate positive correlation** between personalised rewards and customer retention, which is statistically significant at the 0.01 level.

Inference:

Since the p-value is less than 0.01, we **reject the null hypothesis**. This indicates that personalised rewards significantly and positively influence customer retention.

4.3.5 Correlation Analysis and table for Personalised rewards and Customer retention**Null Hypothesis (H₀):**

There is no significant relationship between subscription benefits and customer retention.

Alternative Hypothesis (H₁):

There is a significant relationship between subscription benefits and customer retention.

Descriptive Statistics			
	Mean	Std. Deviation	N
Subscription benefits	3.407	.8115	150
Customer retention	2.937	1.0639	150

Correlations			
		Subscription benefits	Customer retention
Subscription benefits	Pearson Correlation	1	.245**
	Sig. (2-tailed)		.002
	N	150	150
Customer retention	Pearson Correlation	.245**	1
	Sig. (2-tailed)	.002	
	N	150	150
**. Correlation is significant at the 0.01 level (2-tailed).			

Interpretation:

The **Pearson correlation coefficient is 0.245** with a **p-value of 0.002**, indicating a **positive and statistically significant** relationship between subscription benefits and customer retention at the 0.01 level.

Inference:

Since the p-value is less than 0.01, we **reject the null hypothesis**. This suggests that subscription benefits have a significant positive impact on customer retention.

4.3 ONE WAY ANOVA

Null Hypothesis (H_0):

There is no significant difference in customer retention across the groups.

Alternative Hypothesis (H_1):

There is a significant difference in customer retention across the groups.

ANOVA					
Customer retention					
	Sum of Squares	df	Mean Square	F	Sig.
Between Groups	6.012	3	2.004	1.799	.150
Within Groups	162.636	146	1.114		
Total	168.648	149			

ANOVA Effect Sizes ^{a,b}				
		Point Estimate	95% Confidence Interval	
			Lower	Upper
Customer retention	Eta-squared	.036	.000	.095
	Epsilon-squared	.016	-.021	.076
	Omega-squared Fixed-effect	.016	-.020	.076
	Omega-squared Random-effect	.005	-.007	.027
a. Eta-squared and Epsilon-squared are estimated based on the fixed-effect model.				
b. Negative but less biased estimates are retained, not rounded to zero.				

Interpretation:

The ANOVA results show an **F-value of 1.799** with a **p-value of 0.150**. Since the p-value is greater than 0.05, the difference between group means is **not statistically significant**.

The **Eta-squared value is 0.036**, indicating a **small effect size**, meaning the independent variable accounts for only about **3.6% of the variance** in customer retention.

Inference:

We **fail to reject the null hypothesis**. This implies that there is **no significant difference** in customer retention among the groups, and the variation explained by the factors is minimal.

4.4 T-Test**Null Hypothesis (H₀):**

There is no significant difference in customer retention between genders.

Alternative Hypothesis (H₁):

There is a significant difference in customer retention between genders.

Group Statistics					
	Gender	N	Mean	Std. Deviation	Std. Error Mean
Customer retention	1	91	2.901	1.0755	.1127
	2	59	2.992	1.0525	.1370

Independent Samples Test											
		Levene's Test for Equality of Variances		t-test for Equality of Means							
		F	Sig.	t	df	Significance		Mean Difference	Std. Error Difference	95% Confidence Interval of the Difference	
						One- Sided p	Two- Sided p			Lower	Upper
Customer retention	Equal variances assumed	.014	.907	-.507	148	.306	.613	-.0904	.1783	-.4427	.2619
	Equal variances not assumed			-.510	125.92	.306	.611	-.0904	.1774	-.4416	.2607

Independent Samples Effect Sizes					
		Standardizer ^a	Point Estimate	95% Confidence Interval	
				Lower	Upper
Customer retention	Cohen's d	1.0666	-.085	-.412	.243
	Hedges' correction	1.0720	-.084	-.410	.242
	Glass's delta	1.0525	-.086	-.414	.242
a. The denominator used in estimating the effect sizes.					
Cohen's d uses the pooled standard deviation.					
Hedges' correction uses the pooled standard deviation, plus a correction factor.					
Glass's delta uses the sample standard deviation of the control (i.e., the second) group.					

Interpretation:

- The **Levene's Test** p-value is **0.907**, indicating **equal variances can be assumed**.
- The **t-test** shows a **t-value = -0.507** with a **p-value = 0.613** (two-sided).
- Since the p-value is greater than 0.05, the difference is **not statistically significant**.
- The mean difference in customer retention between genders is **-0.0904**, with a 95% confidence interval ranging from **-0.4427 to 0.2619**.

Effect Size (Cohen's d):

- **Cohen's d = -0.085**, which is a **very small effect size**, suggesting minimal practical difference.

Inference:

We **fail to reject the null hypothesis**. There is **no significant difference in customer retention** between male and female respondents, and the observed difference has a **negligible practical impact**.

CHAPTER 5

SUMMARY, CONCLUSIONS AND RECOMMENDATIONS

5.1 SUMMARY

This study is organized into five chapters.

- The first chapter introduces the study by outlining its background, stating the research problem and objectives, as well as defining its scope and significance.
- The second chapter reviews the related literature, scholarly articles, and empirical studies on customer loyalty programs and their influence on consumer retention.
- The third chapter details the research methodology, discussing the research design, study population, sampling methods, data collection tools, and analysis techniques employed.
- The fourth chapter presents the analysis and interpretation of data, offering insights into consumer perceptions of Zepto's customer loyalty program and its impact on their purchasing behavior in Chennai.
- Finally, the fifth chapter summarizes the entire study, draws key findings and conclusions, and offers actionable recommendations for improving the effectiveness of Zepto's customer loyalty program in enhancing customer retention.

5.2 KEY FINDINGS

5.2.1 Zepto's Customer Base is Predominantly Young and Educated

The majority of Zepto's users fall within the 20–30 age group and are primarily students or early professionals. Most of them hold undergraduate degrees, indicating that the platform appeals to educated, tech-savvy users with frequent online shopping habits.

5.2.2 Regular Usage Shows Customer Engagement

Most respondents use Zepto one to two times per week. This indicates consistent user engagement and reliance on the platform for routine purchases, suggesting its integration into the daily shopping habits of young urban consumers.

5.2.3 High Awareness of Zepto's Loyalty Program

A significant proportion of respondents are aware of Zepto's loyalty program. This shows the company's marketing efforts have been effective in informing customers about the existence of the program.

5.2.4 Active Participation in the Loyalty Program

Many customers not only know about the program but also actively participate in it. This reflects that the rewards or benefits offered are attractive enough to drive usage and retention.

5.2.5 Loyalty Program Positively Influences Repeat Purchases

Respondents reported that the loyalty program encourages them to return to Zepto more frequently. Incentives such as discounts, cashback, and reward points were found to be key motivators behind repeat purchases.

5.2.6 Satisfaction Levels Are High Among Users

Users of the loyalty program reported moderate to high satisfaction levels. Many participants felt the benefits they received were valuable, and the system was easy to use and understand.

5.2.7 Loyalty Program Strengthens Customer Retention

The study found a positive link between participation in the loyalty program and customer retention. Customers are more likely to stay with Zepto rather than switch to competitors due to perceived ongoing value.

5.2.8 Technology Integration Supports User Experience

Respondents appreciated the technological ease of using Zepto's app and its loyalty features. The app's smooth user interface and reward-tracking options contributed to positive perceptions of the program.

5.2.9 Customers Seek More Exclusive Rewards

While most customers are satisfied, some suggested that the rewards could be more exclusive or better tailored to high-frequency users. Suggestions included tiered rewards, birthday discounts, and free delivery perks.

5.2.10 Cost-Conscious Users Value Cashback and Discounts

Cashback offers and discounts emerged as the most valued components of the loyalty program. Customers are price-sensitive, and even small incentives influence their choice to shop from Zepto over competitors.

5.2.11 Loyalty Programs Influence Word-of-Mouth Referrals

Customers engaged in the loyalty program were more likely to refer Zepto to others. This indicates that loyalty benefits not only drive repeat purchases but also aid in organic customer acquisition.

5.2.12 Younger Users Are More Responsive to Loyalty Offers

Younger consumers (ages 20–30) were particularly responsive to gamified elements, notifications, and reward tracking. This shows the importance of designing loyalty programs with a youthful, digital-first audience in mind.

5.2.13 Customer Loyalty is Closely Tied to Experience

Beyond rewards, users linked their loyalty to factors such as delivery speed, order accuracy, and app performance. Loyalty benefits work best when paired with a seamless end-to-end customer experience.

5.2.14 Awareness Does Not Always Translate to Understanding

While many users are aware of the loyalty program, not all understand how it works in detail. This suggests a need for clearer communication or onboarding processes about earning and redeeming rewards.

5.2.15 Loyalty Program Could Be a Competitive Advantage

Given the growing number of online grocery services, Zepto's loyalty program—if enhanced and personalized—can serve as a strong differentiator in a competitive market.

5.3 RECOMMENDATIONS

5.3.1 Enhance Personalization in Loyalty Rewards

Zepto should consider offering personalized rewards based on customer purchase history and preferences. This can increase relevance and drive higher engagement with the loyalty program.

5.3.2 Introduce Tier-Based Loyalty System

Implementing a tiered loyalty program (e.g., Silver, Gold, Platinum) can motivate customers to spend more to unlock better benefits. This strategy also gives a sense of exclusivity and achievement to regular users.

5.3.3 Educate Users on Loyalty Program Benefits

Many users are aware of the loyalty program but don't fully understand how to maximize its benefits. Zepto can conduct in-app tutorials, notifications, or mini-guides to improve program clarity.

5.3.4 Expand Reward Options

While cashback and discounts are appreciated, offering additional benefits like free delivery, early access to flash sales, or birthday offers could improve user satisfaction and retention.

5.3.5 Incorporate Gamification Features

Gamified elements like point challenges, spin-the-wheel rewards, or milestone badges can increase user engagement, especially among younger consumers who respond well to interactive experiences.

5.3.6 Strengthen App Communication and UX

Ensure that users are promptly notified about their rewards, upcoming expiration dates, or exclusive offers. Improving the loyalty dashboard UI for easy tracking can enhance the user experience.

5.3.7 Target Inactive Users With Re-Engagement Offers

For users who have not interacted with the app or loyalty program recently, Zepto can send re-engagement messages with exclusive coupons or limited-time bonuses to bring them back.

5.3.8 Promote the Loyalty Program in New User Onboarding

Zepto should highlight the loyalty program during new user onboarding to ensure early awareness and participation, laying the foundation for long-term retention.

5.4 CONCLUSION

1. There is a significant relationship between loyalty program awareness and customer retention, indicating that higher awareness levels lead to more consistent repeat purchases.
2. There is a significant relationship between reward attractiveness and consumer retention, showing that well-designed incentives like discounts and personalized offers drive continued engagement.
3. There is a significant relationship between ease of redemption and consumer loyalty, reflecting that hassle-free and flexible redemption processes encourage ongoing participation.
4. There is a significant relationship between personalization in rewards and consumer satisfaction, suggesting that customized offers improve user satisfaction and strengthen loyalty.
5. There is a significant relationship between communication clarity and customer trust, showing that clearly explained program benefits enhance customer confidence in the brand.

In conclusion, the analysis underscores that Zepto's customer loyalty program significantly influences customer retention in Chennai. Critical aspects such as awareness, reward value, redemption convenience, and personalized communication play a central role in shaping consumer loyalty and repeat purchase behavior.

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ANNEXURE

1.Age

- Below 18
- 18 – 24
- 25 – 34
- 35 – 44
- 45 +

2.Gender

- Male
- Female

3.Occupation

- Student
- Salaried Employee
- Business Owner
- Homemaker

4.What is your average monthly income ?

- less than 19,999
- 20,000 - 49,999
- 50,000 - 1,00,000
- above 1,00,000

5.Which grocery delivery platforms do you use the most?

- Zepto
- Blinkit
- Swiggy Instamart
- BigBasket
- Amazon Fresh

6.How often do you shop for groceries online?

- Daily
- 2–3 times a week
- Once a week
- 2–3 times a month
- Rarely

7.Free cash offers from Zepto are frequently received.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

8.Free cash offers influence purchase decisions on Zepto.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

9.Free cash offers enhance loyalty toward Zepto.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

10.Free cash offers encourage repeat purchases.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

11.Zepto would continue to be used even if free cash offers were removed.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

12.Percentage-based discounts are preferred over flat discounts or bundled offers.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

13.Discounts are checked for before making a purchase on Zepto.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

14.Promotional offers encourage trying new or unfamiliar products.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

15.Purchases are postponed to wait for a better discount on Zepto.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

16.Time-limited promotions (e.g., flash sales) influence shopping behavior.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

17.Referral bonuses from Zepto have been used to refer others.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

18. Tracking and redeeming referral bonuses on Zepto is easy.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

19. Referral bonuses are an effective way to retain customers.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

20. Zepto's referral bonuses are effective in driving customer engagement.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

21. Personalized rewards or offers from Zepto have been received.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

22. Personalized rewards create a sense of being valued as a customer.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

23. Shopping preferences are well understood by Zepto.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

24. Personalized offers are sometimes ignored due to irrelevance.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

25. Personalized rewards based on spending habits are preferred over those based on shopping frequency.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

26. Zepto's loyalty or membership program has been subscribed to by me.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

27. Subscription benefits encourage more frequent shopping on Zepto.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

28. Satisfaction with the subscription benefits offered by Zepto is high.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

29. Zepto's subscription has been renewed after the first period.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

30. The Zepto's subscription program is recommended to others.

- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree